RISK MANAGEMENT IS CAPITAL PRESERVATION

PLAN EXECUTE REPEAT

MILLIONAIRE BY DISCIPLINE

TRADING LESSONS FROM TAKASHI KOTEGAWA

TURNING $13,600 INTO $150 MILLION

TRADING PSYCHOLOGY NOTES

Mastering the Mind

A complete visual guide to **trading psychology**: risk management, money management, mindset and emotional control.

01
Trading Psychology
How the mind drives every trade

02
Risk Management
Protect your capital first

03
Money Management
Position size and growth

04
Winning Mindset
Discipline, patience, process

05
Emotion Control
Master fear, greed and FOMO

MIND MAPS • CHECKLISTS • DIAGRAMS • CHEAT SHEETS • MASTER YOUR MIND

The 6 Pillars of Complete Trading

01 Technical Analysis
Read the chart: trend, setup, entry

02 Fundamental Analysis
Know the company and the news

03 Trading Psychology
Master your mind and behaviour

04 Risk Management
Protect capital with a stop-loss

05 Money Management
Right size, 2% rule, compounding

06 Emotion Management
Control fear, greed and FOMO

All 6 together
= a complete, profitable trader

> *Miss one pillar and the building falls. Build all six.*

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Most traders don't fail because of a bad strategy. They fail because they keep repeating the same few mistakes. Learn to recognise these eight, and you have already avoided most of the damage.

The 8 Mistakes at a Glance

The Pro Trader's Mindset

Your **mindset** and **psychology** decide your results long before your strategy does.

Control Your Emotions 01
Fear and greed ruin decisions. Stay calm.

Always Follow Your Plan 02
Set entry, exit and stop-loss before you enter.

Control Your Expectations 03
Aim for consistency, not overnight riches.

Accept Your Mistakes 04
Losses are normal. Learn, adjust, move on.

Focus on the Process 05
Execute your rules; profits follow process.

Take Short Breaks 06
Step away after a big win or loss to reset.

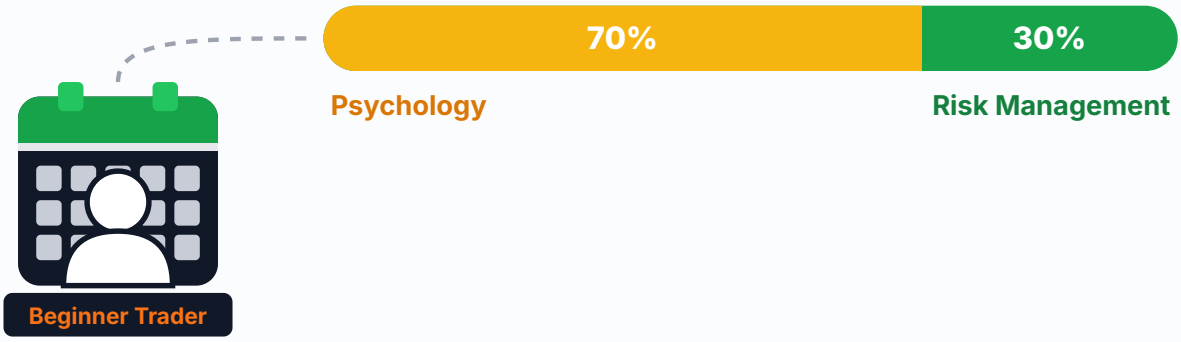
What Makes a Profitable Trader?

Every trader needs both psychology and risk management. What changes is **where your focus goes**, and that shifts as you gain experience.

PHASE 1 · BEGINNER

Build your mind first: 70% Psychology

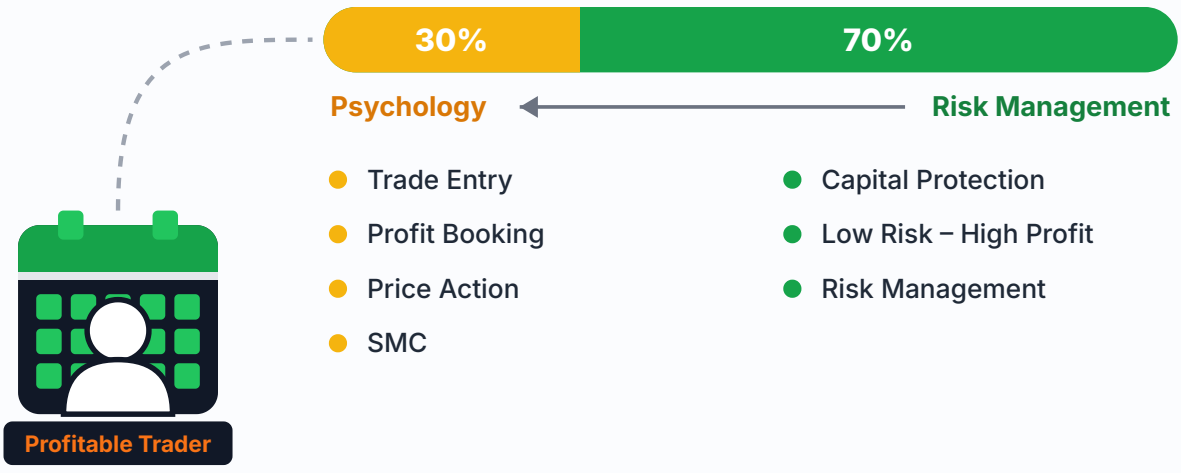
As a beginner, most losses come from fear, greed, FOMO and over-trading, not from a bad setup. Your main job is to build discipline and emotional control.



PHASE 2 · EXPERIENCED

Then master your risk: 70% Risk Management

With experience, discipline becomes a habit, so psychology needs less attention. The focus moves to protecting capital and sizing every trade correctly, while psychology keeps guiding entries and profit booking.



First master your mind, then master your risk. A beginner works on psychology. An experienced trader has already built it, so the focus shifts to capital protection. That shift is what turns a trader into a **profitable trader**.

Risk Management

Same capital, 3 losing trades each. The only difference is the stop-loss.

	Trader : A	Trader : B
Capital	₹50,000	₹50,000
Stop-loss	Stop-loss placed	No stop-loss
Exit point	Stop-loss hit	Panic exit
Loss per trade	₹1,000	₹3,000
Loss type	Limited loss	Big loss
Loss % per trade	2%	6%
Total loss (3 trades)	6% = ₹3,000	18% = ₹9,000

Trader B loses 3× more money.

Capital left after 3 losses

Trader A ₹47,000

Trader B ₹41,000

Gain needed to recover

Trader A (lost 6%) +6.4%

Trader B (lost 18%) +22%

The 4 Trade Outcomes

BIG PROFIT
Let winners run

BIG LOSS
Never allow this

YOUR TRADES

SMALL PROFIT
Fine, book it

SMALL LOSS
Accept it (SL hit)

Keep losses **small**, let profits grow **big**, and never allow a **big loss**.

Max Loss Streak

Every strategy has losing streaks. Know yours, so it never wipes out your account.

FORMULA

$$\text{Max Loss Streak} \approx \frac{\ln(N)}{\ln(1 \div (1 - W))}$$

N = number of trades
W = win rate (50% = 0.5)
ln = natural log

Example (50% win rate, 100 trades): ln(100) ÷ ln(2) = 4.61 ÷ 0.69 ≈ **7 losses in a row**

Example: 100 trades at different win rates

WIN RATE	LOSSES IN A ROW (100 TRADES)	
30% win	❌ ❌ ❌ ❌ ❌ ❌ ❌ ❌ ❌ ❌ ❌ ❌ ❌	13
40% win	❌ ❌ ❌ ❌ ❌ ❌ ❌ ❌ ❌	9
50% win	❌ ❌ ❌ ❌ ❌ ❌ ❌	7
60% win	❌ ❌ ❌ ❌ ❌	5
70% win	❌ ❌ ❌ ❌	4

7 LOSSES IN A ROW (50% WIN RATE): CAPITAL LOST

Risk 1% per trade	Risk 2% per trade	Risk 5% per trade
−7%	−13%	−30%
Safe	Manageable	Dangerous

Risk per trade = Max drawdown ÷ Max loss streak
Example: 20% max drawdown ÷ 13 losses (30% win rate) ≈ **1.5% risk per trade**.

> *In trading, you have to become a machine. If you can't, you can't become profitable.*
>
> FOLLOW THE RULES · EVERY TRADE · NO EMOTION

Risk : Reward & Win-Rate Cheat Sheet

RISK : REWARD → \ WIN RATE →	20%	30%	40%	50%	60%
1:1	LOSS -0.6R / trade	LOSS -0.4R / trade	LOSS -0.2R / trade	BREAK-EVEN +0.0R / trade	PROFIT +0.2R / trade
1:2	LOSS -0.4R / trade	LOSS -0.1R / trade	PROFIT +0.2R / trade	PROFIT +0.5R / trade	PROFIT +0.8R / trade
1:3	LOSS -0.2R / trade	PROFIT +0.2R / trade	PROFIT +0.6R / trade	PROFIT +1.0R / trade	PROFIT +1.4R / trade
1:4	BREAK-EVEN +0.0R / trade	PROFIT +0.5R / trade	PROFIT +1.0R / trade	PROFIT +1.5R / trade	PROFIT +2.0R / trade
1:5	PROFIT +0.2R / trade	PROFIT +0.8R / trade	PROFIT +1.4R / trade	PROFIT +2.0R / trade	PROFIT +2.6R / trade

Example: 1:3 at 30% Win Rate

10 trades · risk ₹50 · reward ₹150

7 losing trades × ₹50	−₹350
3 winning trades × ₹150	+₹450
Net profit	**+₹100**

⚖ Minimum win rate to break even

1:1	50%
1:2	33%
1:3	25%
1:4	20%
1:5	17%

Break-even formula

$$\text{Win \%} = 1 \div (1 + R)$$

Higher reward needs a lower win rate.

PART 2 · THE INNER GAME

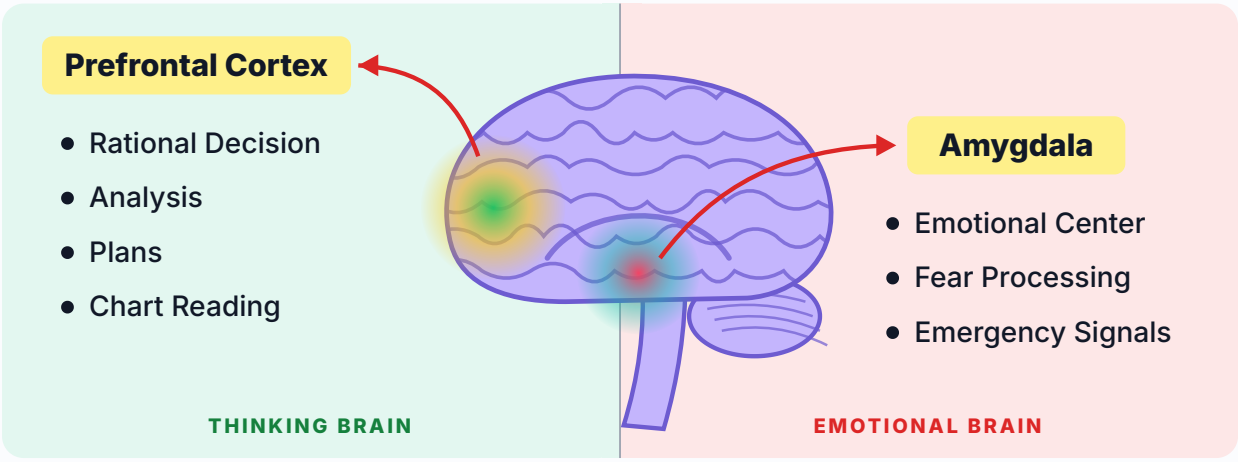
Trading Psychology

Your strategy says what to do. Your mind decides if you do it.

Trading Research

Only **10%** of mistakes come from analysis. **90%** come from emotions.

Inside the Trader's Brain



Under stress, the **amygdala** (emotion) overrides the **prefrontal cortex** (your plan).

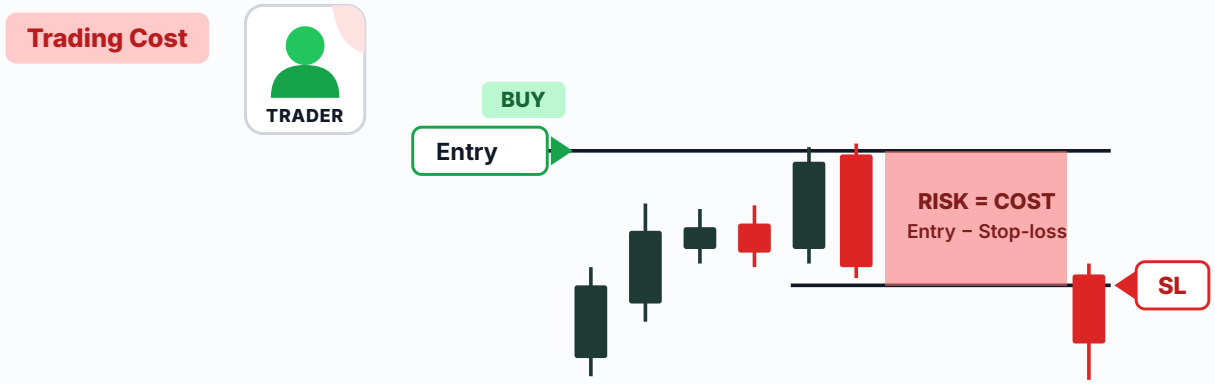
The 4 Psychological Enemies

01

PSYCHOLOGICAL ENEMY 1

Loss Aversion

> A loss hurts more than a gain feels good, so traders hold losing trades.



Entry to stop-loss = your **trading cost**. Know it before you enter.

HOW TO BEAT IT

1 Accept the Stop-loss
Never move your SL.

2 Position Size
Risk only 1–2% per trade.

3 Avoid the Screen
Set SL and target, then step away.

Why Avoid the Screen?

02

PSYCHOLOGICAL ENEMY 2

Confirmation Bias

> Seeing only what supports your view and ignoring the rest.

SITUATIONS

1 During Research
Reading only views you agree with.

2 During Trade Entry
Ignoring signals against your trade.

3 After a Loss
Finding reasons to hold a losing trade.

HOW TO BEAT IT

1 Devil's Advocate
List 3 reasons the trade could fail.

2 Scenario Planning
Plan for up, down and sideways moves.

03

PSYCHOLOGICAL ENEMY 3

Overconfidence

> After a few wins, you start to believe you can't be wrong.

SITUATIONS

1 Instinct
Trading on gut feel, skipping analysis.

2 Taking Higher Risk
Bigger size after a winning streak.

3 Blaming Others
Wins are skill, losses are someone else's fault.

HOW TO BEAT IT

1 Probability Thinking
Any trade can lose, even a good setup.

2 Performance Review
Review your trade journal every week.

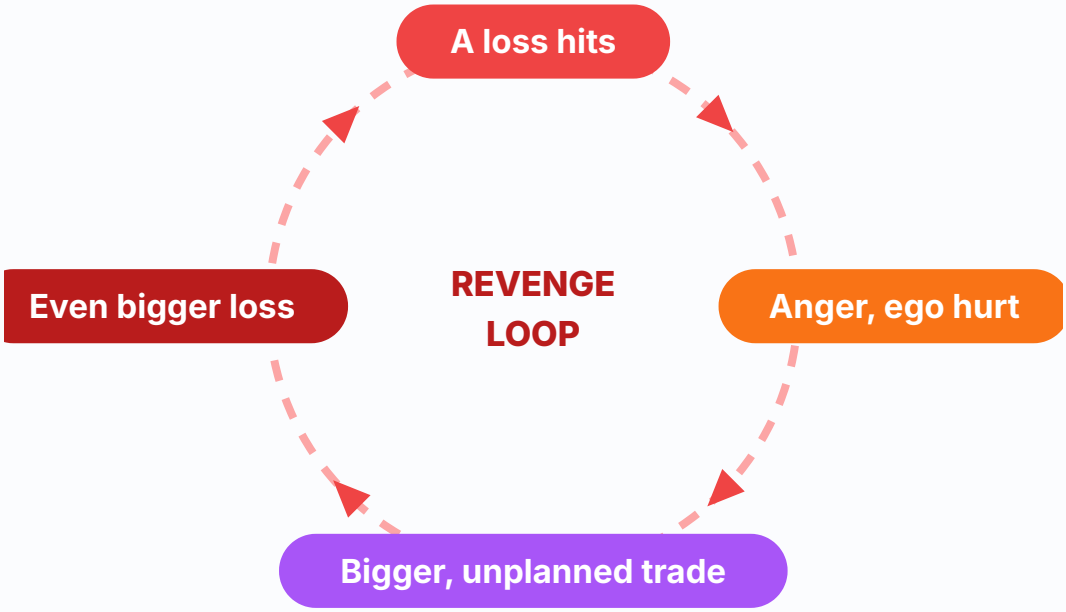
3 Increase Quantity Gradually
Scale up only after steady results.

04

PSYCHOLOGICAL ENEMY 4

Revenge Trading

> Trading right after a loss to win the money back.



PSYCHOLOGICAL FORCES

1 Sunk Cost Fallacy
"I must get my loss back."

2 Ego Protection
Trading to prove you were right.

3 Emotional Dysregulation
Anger takes over your rules.

HOW TO ESCAPE REVENGE TRADING

1 Two-Strike Rule
Two losses in a row? Stop for the day.

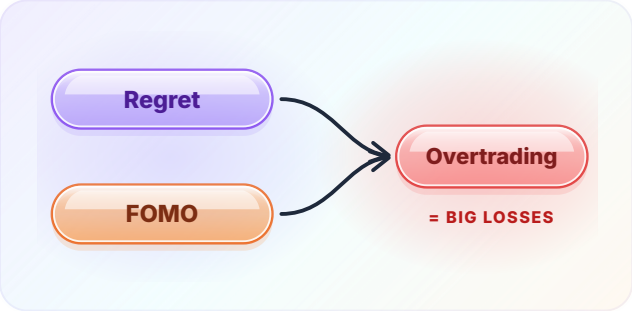
2 Cost of Business
Losses are a normal business expense.

3 Physical Cue
Stand up and walk away to reset.

Emotional Discipline

Control your emotions, or they will control your trades.

Emotions to Control



> *No trading is also part of trading.*
>
> NO SETUP · NO TRADE

How to Build Emotional Discipline

PART 3 · HANDLING LOSSES

Loss Management Psychology

1. How to make your loss a **Happy Loss**
2. How to be **prepared** for the loss
3. **After the loss**: what to think & do
4. How to **come back** financially & emotionally

! Reality of Losses

Loss is part of trading. Every trader takes losses.

Stop-loss Is Your Friend

Your SL protects your capital.

Two Types of Losses

😊 Happy Loss

- ✔ Planned & calculated
- ✔ Decided before entry
- ✔ Loss in a pre-planned trade
- ✔ Gives information, knowledge & experience

😞 Sad Loss

- ✕ Unplanned & not calculated
- ✕ Deciding during the trade
- ✕ Loss in a revenge trade
- ✕ Gives regret & stress

> *Avoid skipping or shifting your stop-loss.*
>
> *Never run away from a stop-loss, and never hesitate to take it.*

Stay Prepared for Losses in Advance

RISK = QTY × SL

Qty 1,000 × SL 20 points	₹20,000
Too much? Cut qty to 500	₹10,000

If you **cannot reduce quantity** or **cannot bear the loss**, **avoid the trade**.

What to Think at the Time of Loss

1

Trade outcomes are a **probability**, never a certainty.

2

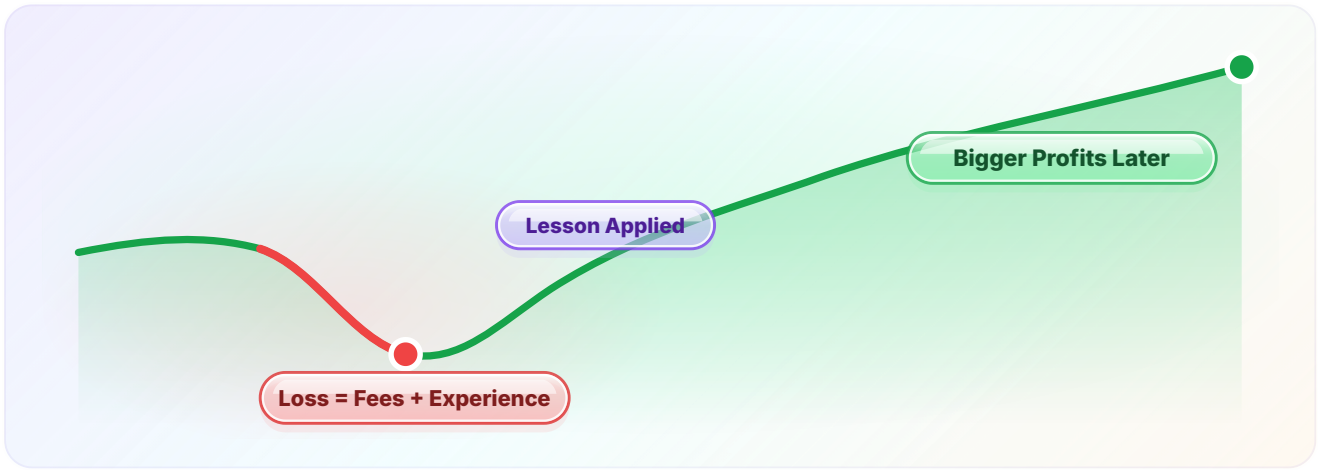
You can't control the market. Only **discipline** works.

3

A loss is just a moment. Your **reaction** defines you.

5-Step Plan After a Loss

Loss Recovery



Loss = **Trading Fees** + **Experience** → **Bigger Profits Later**

Loss is your trading fee and experience. After that, the market gives you more.

Come back financially

Trade smaller size until you are consistent again.

Come back emotionally

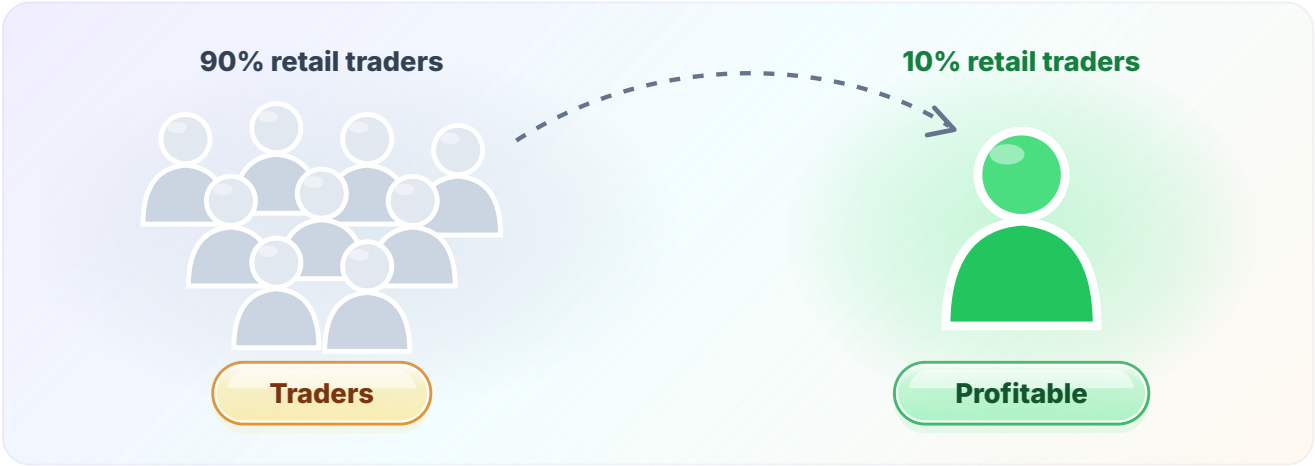
Take a break, review calmly, return with a clear mind.

PART 4 · CAPITAL GROWTH

Grow Your Small Capital Fast

Small capital + the right plan + discipline = big results over time.

Only 10% Become Profitable



Mental State + Emotions + Mindset = Trading Psychology

Growth Plan

EXAMPLE: ₹10,000 CAPITAL

Stop-loss	₹600
Profit target	₹1,200
Risk : Reward	1 : 2

WHAT YOU NEED

Patience · Discipline · Proper Roadmap

Reach ₹25,000–30,000, **then** increase your lot size.

4 Emotions That Kill Growth

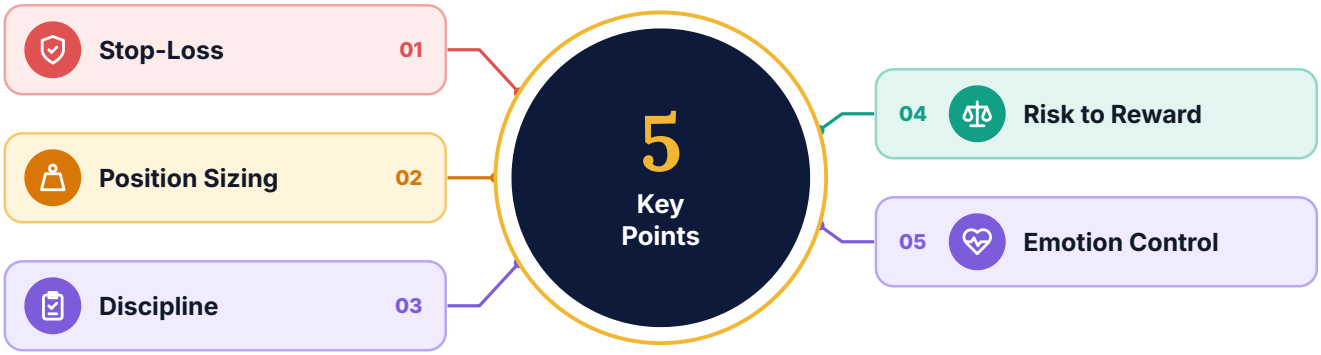
PART 5 · PROFESSIONAL RISK

How Pro Traders Manage Risk

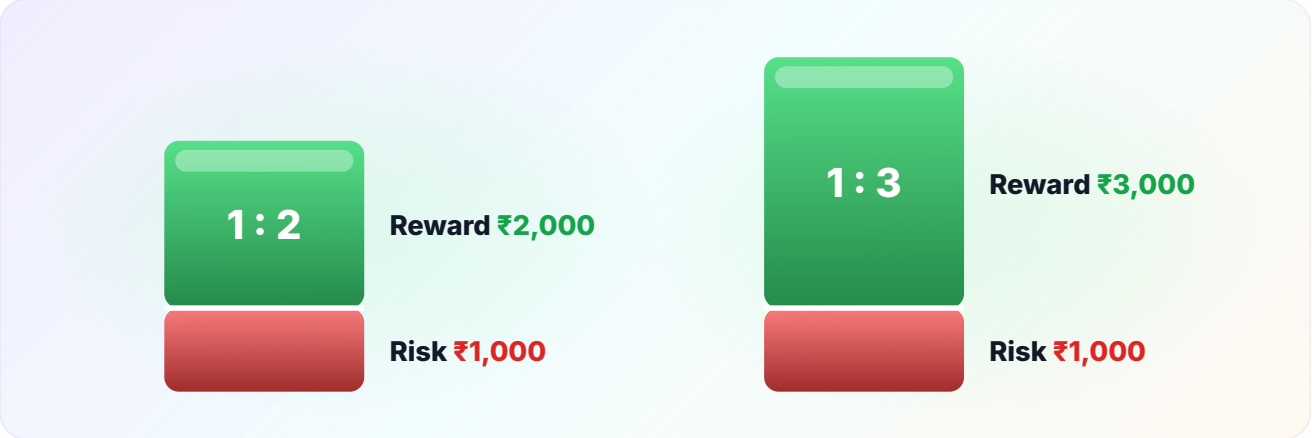
Pros protect capital first. Profits come second.

Bigger Loss = Harder Recovery

5 Key Points of Risk Management



Risk to Reward Ratio



Trading accuracy **60%**

5 trades at 1 : 2

3 winning trades × ₹2,000	+₹6,000
2 losing trades × ₹1,000	−₹2,000
Net profit	**+₹4,000**

Discipline: avoid

- FOMO
- Revenge Trading
- Overconfidence

Emotion control: manage

- Greed
- Fear
- Anger
- Impatience

> *Trust your strategy and use a predefined stop-loss.*

PART 6 · INNER CONTROL

Trading Emotion Control

Name the emotion. Follow the fix.

01 Overconfidence

- Analyse every trade independently
- Trade with small capital

02 Greed

- Set your target
- Set realistic goals
- Avoid overtrading
- Don't break your rules

03 Revenge Trading

- Don't trade right after a stop-loss
- Find the reason for the loss
- Don't trade to recover the loss

04 FOMO

- Don't copy others' trades
- No entry without your criteria
- Don't act on news or social media tips
- Accept missed opportunities
- No trade is better than a bad trade

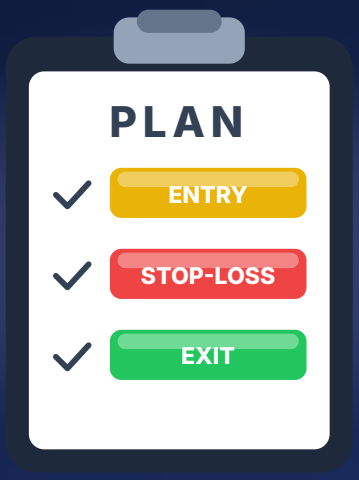
05 Hope

- Always enter with a stop-loss
- Not every trade must be a winner: drop that idea

06 Fear

- Follow risk management rules
- Never put all capital in one trade
- Trade with small capital
- Set your target

Extra Tips



1 Make Your Trading Plan

Entry Stop-loss Exit

2 Meditation

A calm mind makes calm trades.

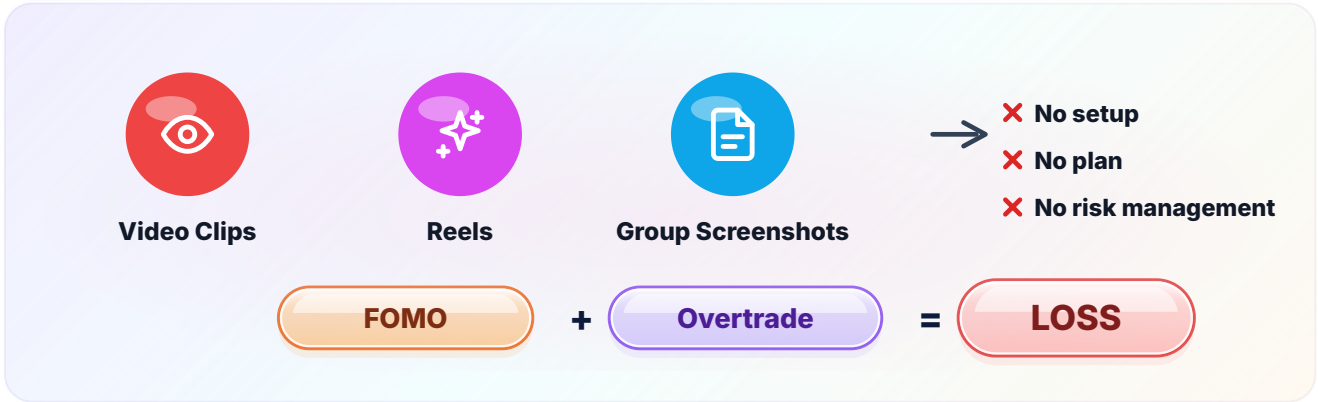
PART 7 · FEAR OF MISSING OUT

Trading Psychology: FOMO

1. How to control FOMO
2. How to control fear
3. How to make regular profit

What Is FOMO?

Social Media FOMO



What FOMO Does to You

FOMO LEADS TO

- **Anger**
- **Frustration**
- **Low Confidence**

Missed the breakout?
Chasing it now is FOMO. Wait for the next setup.

How FOMO Traps You

Early days	FOMO very rarely →	Profitable Trader
6 months / 1 year	FOMO every day →	Trapped in FOMO

FOMO: Psychological Problems

How to Avoid FOMO

Trader A

- ✕ Watches others' profits
- ✕ Follows luxury lifestyle posts
- ✕ Chases eye-catching results
- ✕ Wastes focus & time → Loss

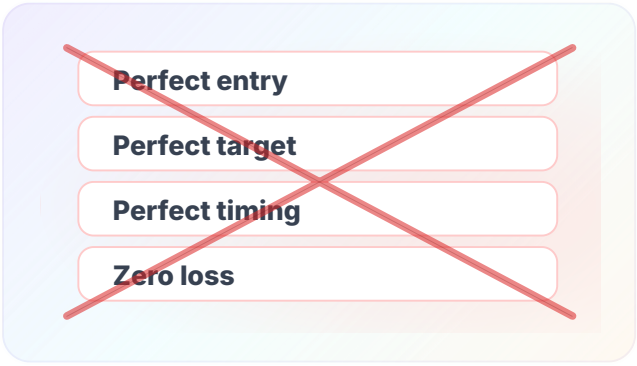
Trader B

- ✓ Reviews his own trades
- ✓ Re-analyses the chart
- ✓ Watches only valuable videos
- ✓ Result → Profitable trader

Risk Management Beats FOMO

	TRADER A	TRADER B
Capital	₹1,00,000	₹1,00,000
Risk management	**Yes**	**No**
Risk : Reward	**1 : 2**	**No**
Loss when SL hit	**₹1,000**	**₹5,000**

Don't Try to Be Perfect



PROFESSIONAL TRADER

- ✓ Clear setup
- ✓ Fixed risk
- ✓ Loss accepted

> *6 wins and 4 losses can still be profitable.*
>
> AT 1 : 2 · 6 × ₹2,000 − 4 × ₹1,000 = +₹8,000

PART 8 · THINK LIKE A PRO

Pro Trader Psychology

1. Improve **trading psychology**
2. **Plan** every trade
3. Avoid **FOMO**
4. Become a **disciplined** trader

Psychology of Risk Management

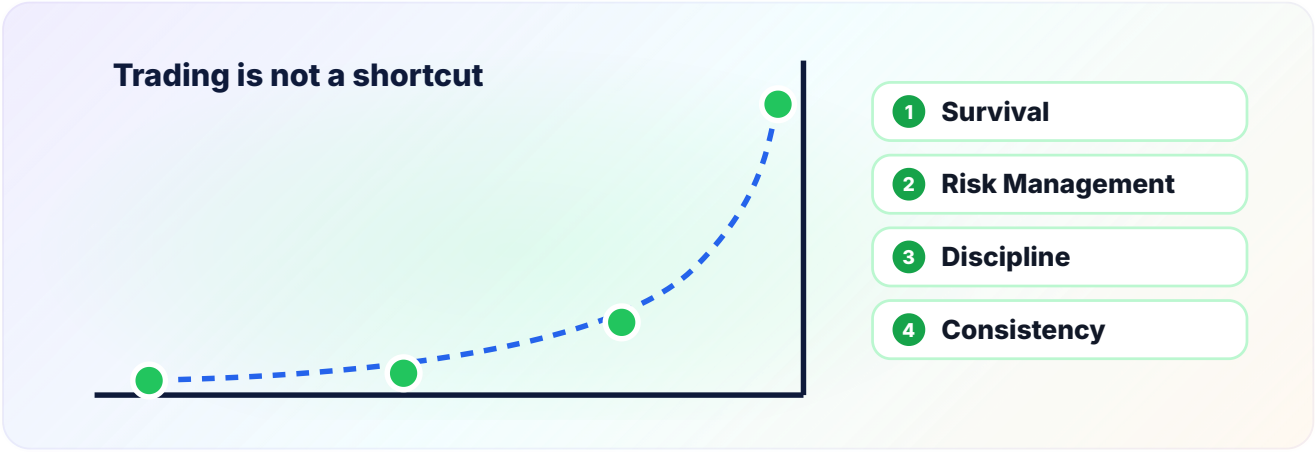
	Trader A	Trader B
First trade	Loss ₹1,000	Loss ₹4,000
Next trade	Profit ₹3,000	Profit ₹0
Result	+₹2,000 ✓	−₹4,000 ✕

Small loss keeps your mind calm, so you catch the next good trade.

How to Set a Stop-Loss

Psychology of Trading

The Pro Trader Mindset



PART 9 · THE SCIENCE OF THE MIND

What Is Trading Psychology?

Everything that happens in your head while you trade.

Intraday Trading

10%
Technical Analysis

+

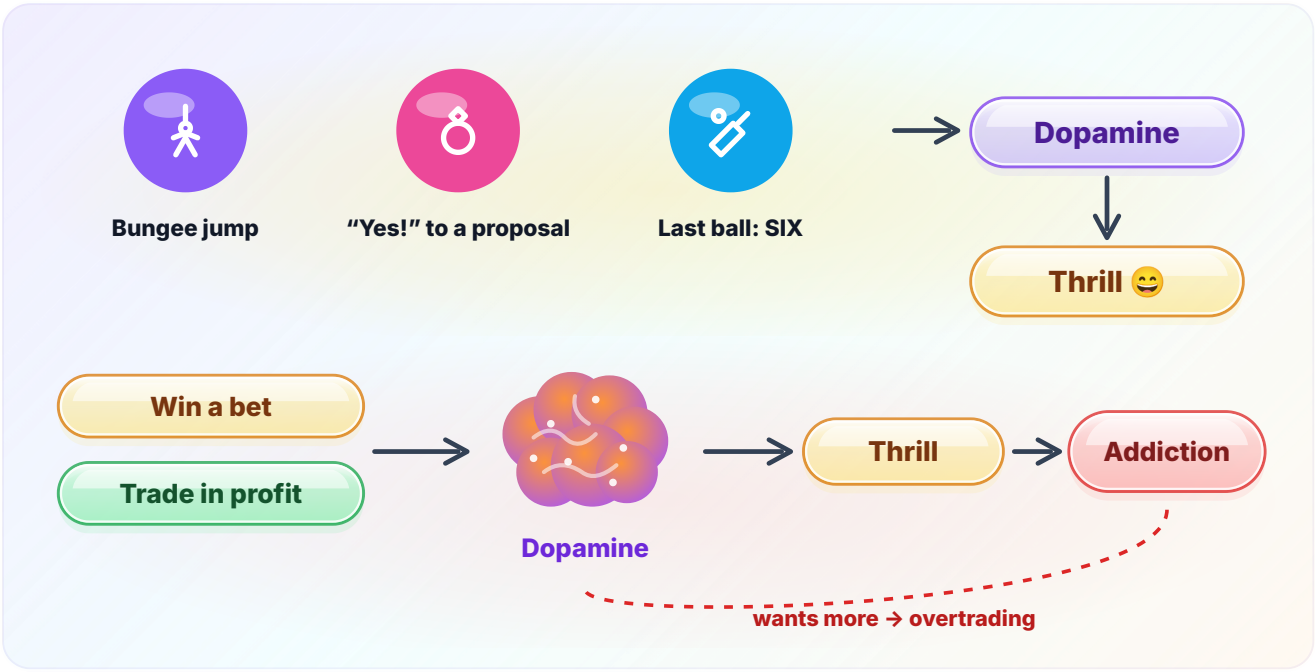
90%
Trading Psychology

Rules of Habit

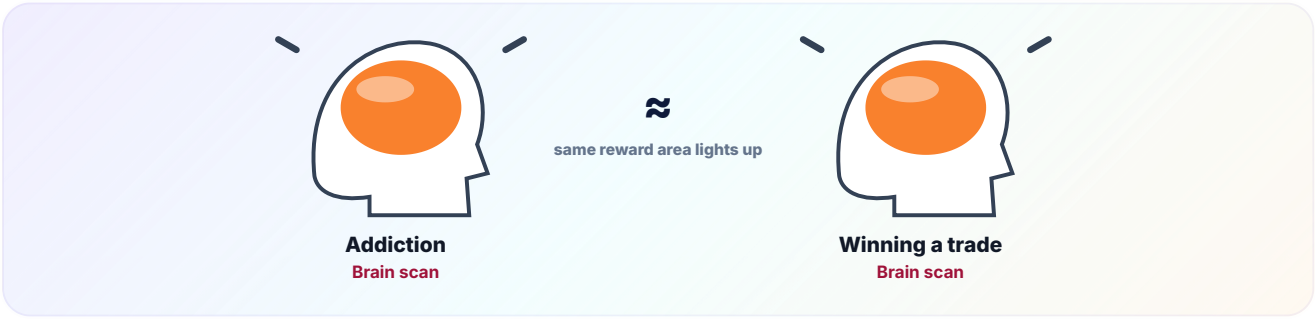
To develop a habit
21 Days
Psychology · Mindset · Thinking ability

To leave a habit
90 Days
Psychology · Mindset · Thinking ability

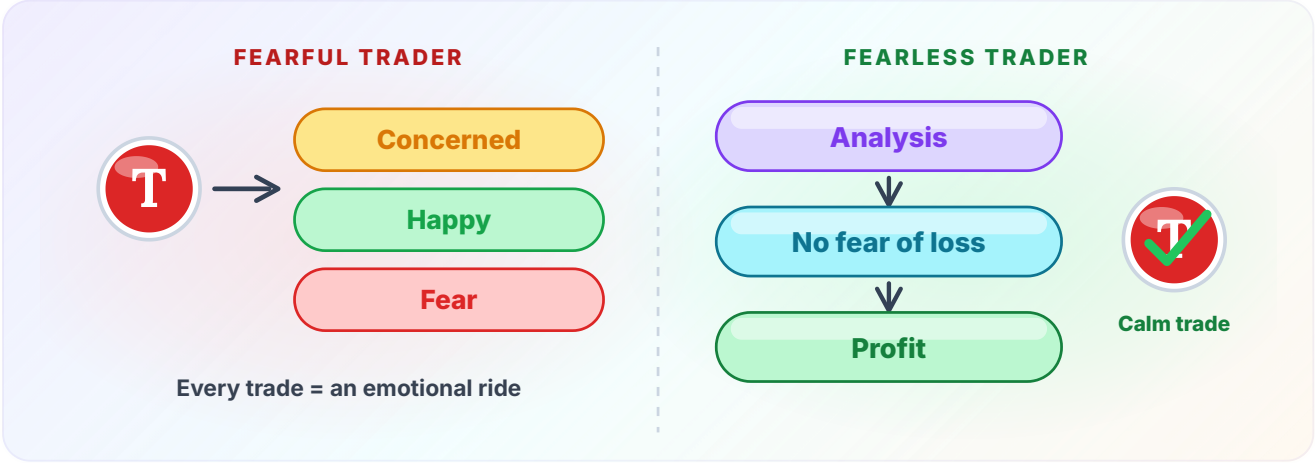
Dopamine: The Thrill Chemical



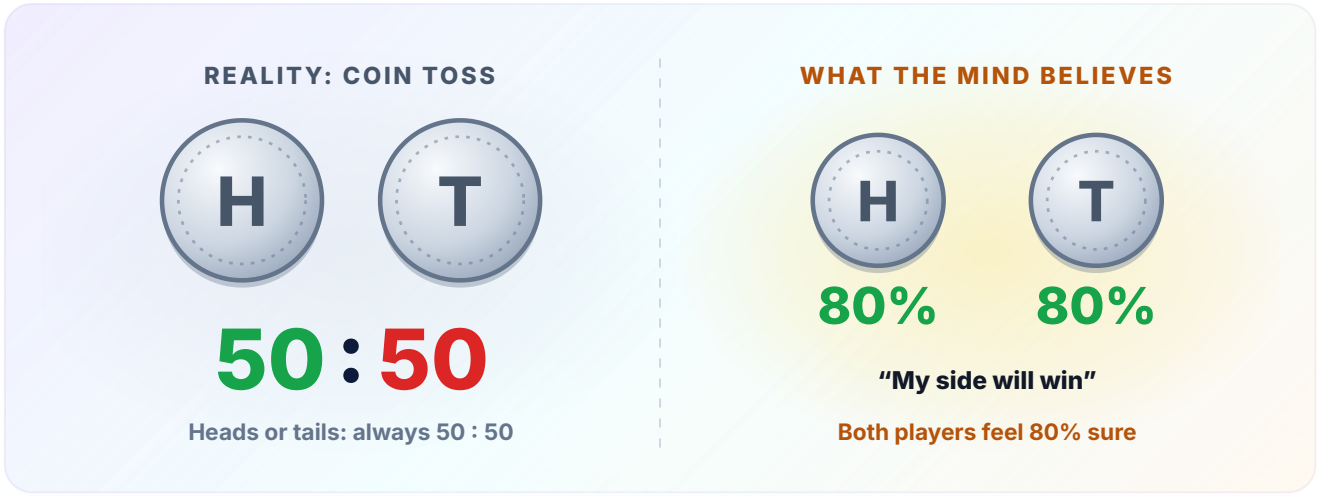
The Brain-Scan Experiment



Trading Psychology → Fearless Attitude



Heads or Tails: The Probability Mind



The market is like a coin toss. Feeling sure does not change the odds.

Trading Psychology Changes the Odds

Trend Is Your Best Friend

Always follow the trend. Don't fight the market. Trade with it.

Why Learn Trading Psychology?

Technical analysis tells you **when** to trade. Psychology makes sure you **follow** it.

> *Analysis gives you the setup. Psychology gives you the edge.*

Who Wins in the Stock Market?

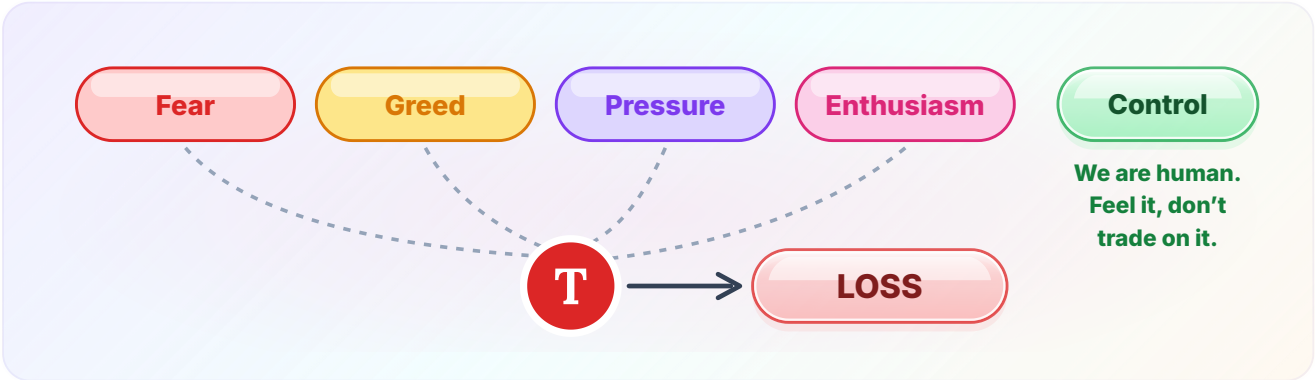
Most traders learn only charts. The few who also master their mind join the **10%**.

PART 10 · SELF CONTROL

Unsuccessful Trader Psychology & Behaviour

"If you can control yourself, you can control everything."

Emotional Trading



01 Without Knowledge

- Trading before learning the basics
- No setup, no plan, no rules

02 Like Gambling

- Random bets, hoping to get lucky
- Trading needs a plan, not luck

03 Revenge Trading Mode

- SL hit → anger → instant new trade
- One loss turns into many

04 FOMO Trap

- Buying the top, selling the bottom
- Late entry = trapped trade

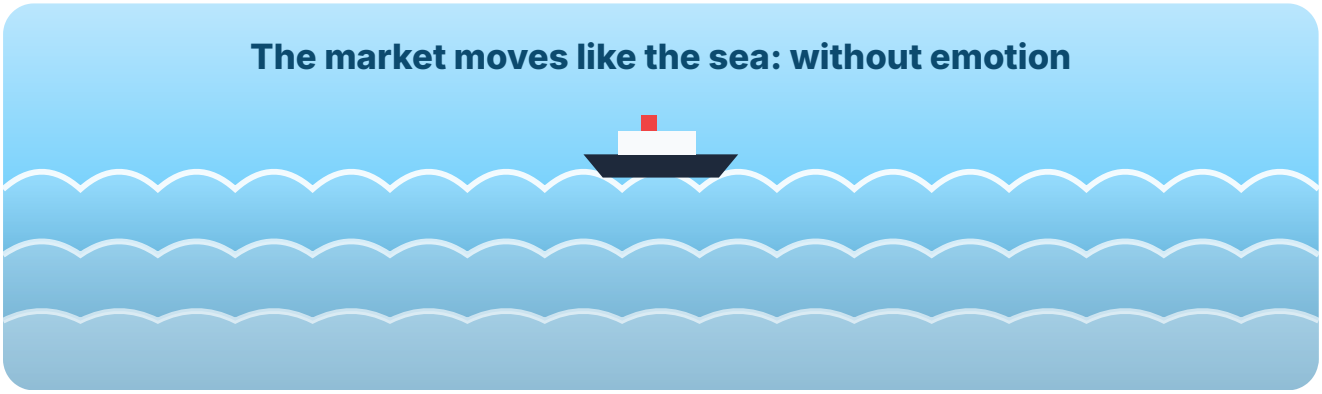
05 Over-Analysis

- Too many indicators, no decision
- Use 1 strategy: before & after the trade

06 Over-Trading

- No discipline, multiple positions
- Few quality trades beat many random ones

Market Moves Emotionless



> *The market does not move according to the trader.*
> *The trader has to follow the market.*

Trading Without Stop-Loss

No stop-loss

- ✕ One bad trade can wipe the account
- ✕ Hope replaces the plan
- ✕ Big loss, big stress

With stop-loss

- ✔ Loss is small and planned
- ✔ Capital stays safe
- ✔ Mind stays calm

Averaging a Losing Trade

Skipping the stop-loss and buying more as ABC share falls:

ABC PRICE	BUY QTY	TOTAL SHARES	MONEY IN
₹2,000	200	200	₹4,00,000
₹1,800	300	500	₹9,40,000
₹1,500	400	900	₹15,40,000
₹1,200	500	1,400	₹21,40,000
Exit at ₹700	–	1,400	**Worth ₹9,80,000 → Loss ₹11,60,000**

A ₹200 dip that should have been a small SL became a **₹11.6 lakh** loss. **Never average a losing trade.**

Trading With Heavy Quantity

Same ₹10 move against you

100 shares (fits your capital)	**−₹1,000**
1,000 shares (margin / heavy qty)	**−₹10,000**
Trade a size your capital can handle	✔

PART 11 · WINNING BEHAVIOUR

Successful Trader Psychology & Behaviour

What winners do differently, every single day.

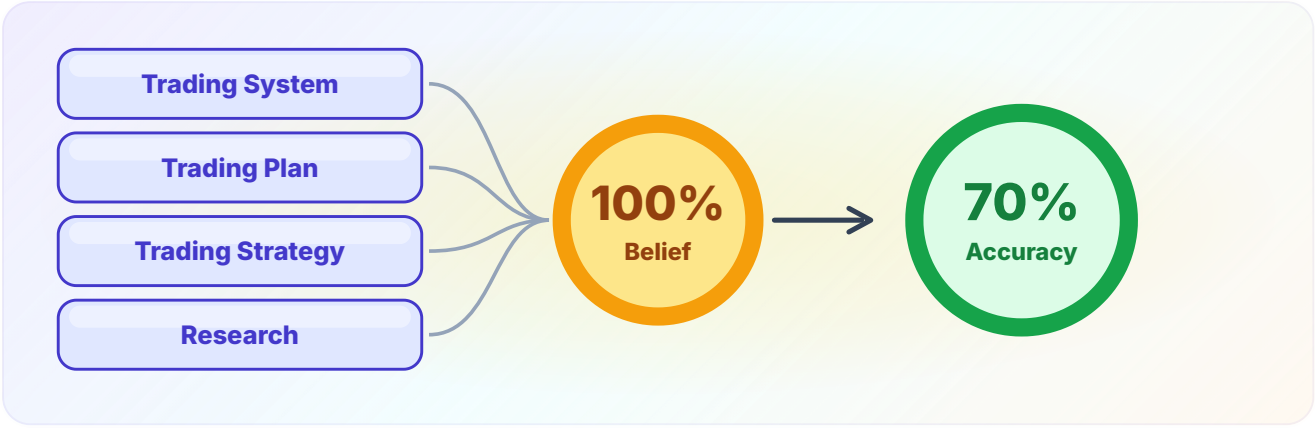
Patience: Trading Is Mostly Waiting

TRADING IS 90% WAITING AND JUST 10% TRADING

Breakout | Indicator | Chart Pattern | Candlestick Pattern

Wait until your technical setup appears, then act.

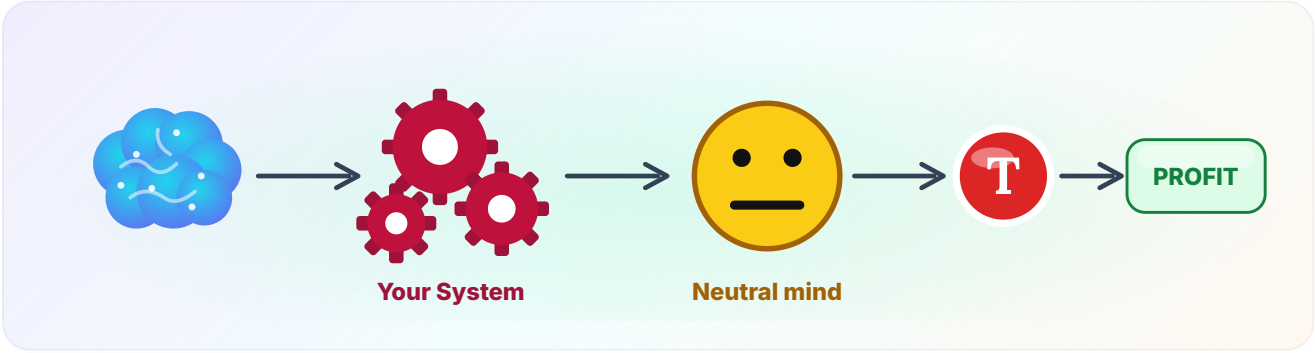
Confidence



Trust your tested system, even when a single trade loses.

Discipline

Emotionless Trading



Self-Control: Lesson from the Bhagavad Gita

क्रोधाद्भवति सम्मोहः सम्मोहात्स्मृतिविभ्रमः ।
स्मृतिभ्रंशाद् बुद्धिनाशो बुद्धिनाशात्प्रणश्यति ॥

BHAGAVAD GITA 2.63

- Anger (fear, greed)
- Confusion
- Lost memory of your plan
- Lost ability to think
- Loss

01 Your Reaction Is Your Trade

- Accept your mistakes
- React with the plan, not emotion

02 Cut Losses Fast

- Exit on: gap-down open
- Negligible volume, sideways trend
- Trade starts to backfire

03 Let Profits Run

- Use a trailing stop-loss
- Don't exit a winner early

04 Fearless Attitude

- Your past losses don't decide your future
- No tips, no blind trades
- Right position size + stop-loss

> *Cut your losses fast. Let your profits run.*

Risk Management: The 2% Rule

₹1,00,000 Total capital × 2% → ₹2,000 Max risk per trade

The 2% Rule: never risk more than 2% on one trade

Money Management

Capital ₹10,000 · share price ₹100

✕ Buy 100 shares

100% in ONE trade

All capital in a single trade. One mistake hurts the whole account.

✔ Buy 30 shares

30% | 30% | 30% | 10%

30% per trade. Even 3 trades (90%) leave **10% remaining** as safety.

Be Realistic

Unrealistic hope comes from

- Emotional trading
- Market volatility
- Big trend
- Unexpected bull run

The 10% who profit

- Learn technicals
- Learn fundamentals
- Keep studying

Daily Mindset Habits

01 Make a Fresh Start Every Day

- Yesterday's profit or loss is closed
- Start each day with a clear mind

02 Don't Be Greedy

- Controlled greed: set a target
- Book profit when target hits

03 Conquer Your Frustration

- Very happy? Don't make promises
- Very sad? Don't make decisions

04 Feeling Emotionally Weak?

- Weak mind = loss-making trades
- Don't trade on those days

05 Accept Your Mistakes

- Wrong decision, bad tip, failed analysis
- Accept it, learn, move on

06 Digest Your Loss

- Profit and loss are both normal
- Stay calm after a loss

07 Don't Look Back

- What has passed is gone
- Focus on the next good entry

08 Take a Break

- Stress = poor decisions
- Take a weekly holiday

Avoid Illusions · Set a Realistic Target

ILLUSION

- ~~₹1 → ₹1,000 overnight~~
- ~~Lottery mindset~~
- ~~Gambling / betting~~

REALISTIC TARGET

- ₹1,00,000 capital
- Start: 10% / month
- Goal: 15% = ₹15,000

with 70%+ accuracy

Daily Analysis of Results

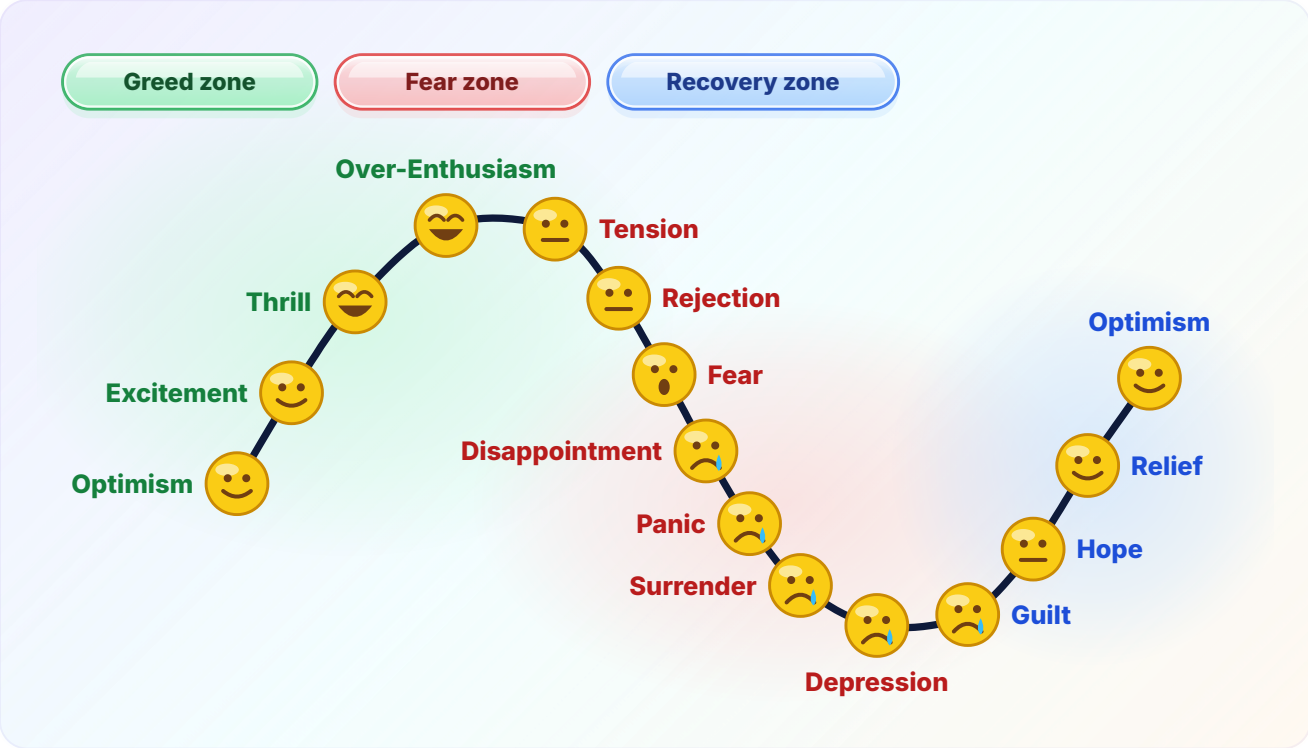
- [ ] Your thoughts
- [ ] Your mistakes
- [ ] Loss? Why?
- [ ] Profit? Why?
- [ ] Experience
- [ ] What I learned

> *Review every day. Your journal is your best teacher.*

PART 12 · EMOTION CYCLE ANALYSIS

The Trader's Emotion Cycle

Every trade moves your mind through the same 15 emotions.



01 Greed Zone

- Optimism → Over-enthusiasm
- You buy at the top

02 Fear Zone

- Tension → Depression
- You sell at the bottom

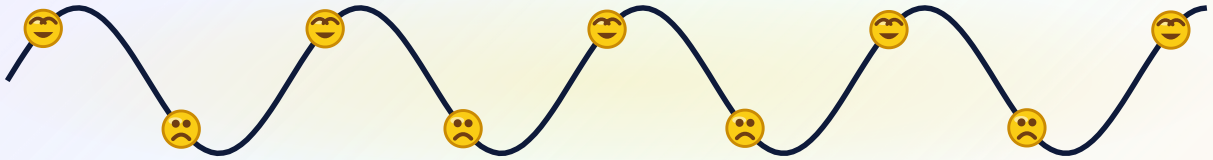
03 Recovery

- Guilt → Optimism
- Then it starts again

The Emotion Cycle on a Chart

Emotions buy the **top** and sell the **bottom**. Rules do the opposite.

The Cycle Repeats



Without discipline, the same cycle repeats again and again

Break the Cycle

1 Name the emotion
Know where you are on the cycle.

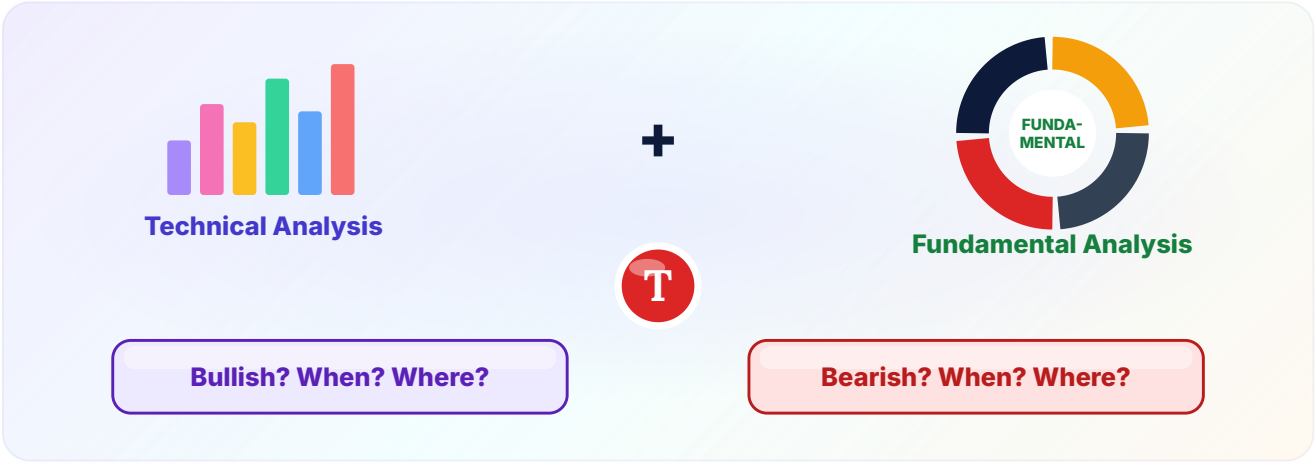
2 Follow your plan
Entry, SL and target decided before.

3 Step away
At panic or thrill, take a break.

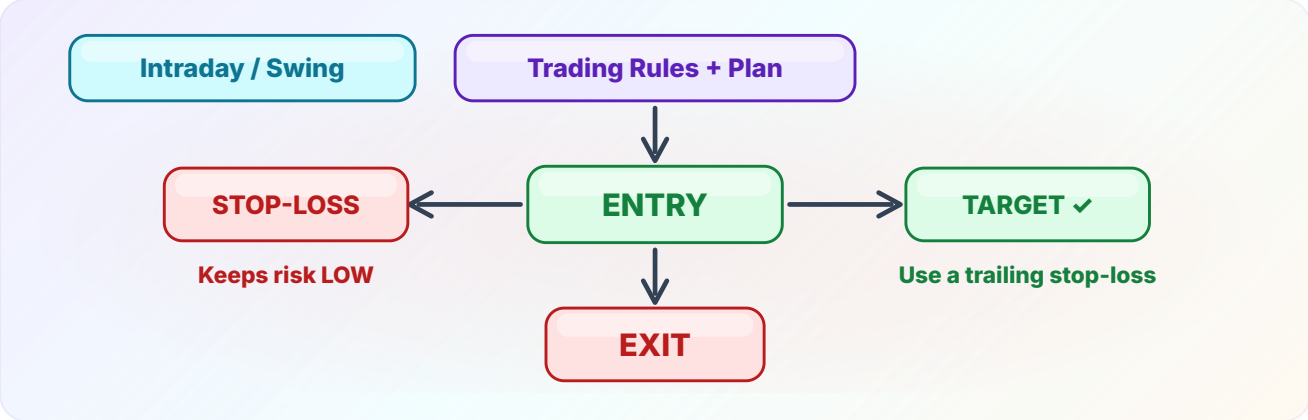
PART 12 · EMOTION CYCLE (CONTINUED)

How to Avoid the Emotion Cycle

1 · Proper Analysis



2 · Place a Stop-Loss · 3 · Follow Your Trading Plan



A stop-loss balances risk and reward. Never enter a trade without one.

4 · Emotionless Trading · 5 · Treat It as a Business

- ☐ Greed
- ☐ Fear
- ☐ Thrill
- ☐ FOMO
- ☐ Note it · follow rules

TRADING IS A BUSINESS

- ✓ Profit is income
- ✓ Loss is a business cost
- ✓ Decisions by rules

6 · Be Thankful to Yourself

Accept profit

- ✓ Thank yourself for following the plan
- ✓ Stay humble, stay neutral

Accept loss

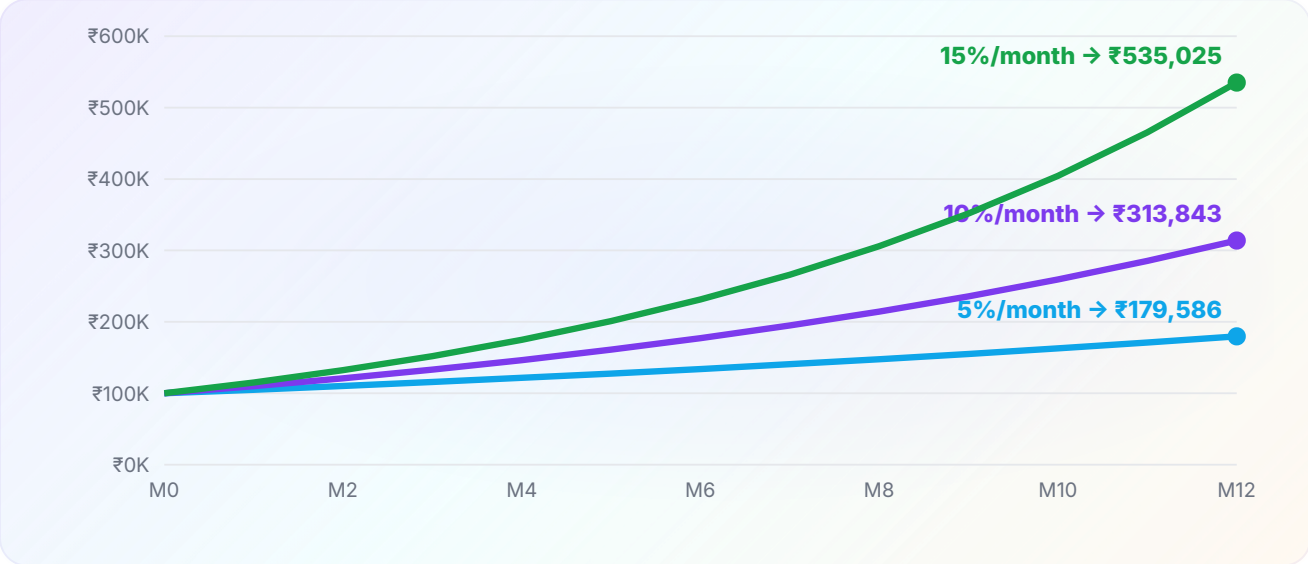
- ✓ It was part of the plan
- ✓ Learn, and get ready for the next trade

Compounding System in the Market

Trading capital ₹1,00,000 · profit added back every month · 70% accuracy

MONTH	CAPITAL	10% PROFIT	TOTAL CAPITAL
Month 1	₹1,00,000	**+₹10,000**	₹1,10,000
Month 2	₹1,10,000	**+₹11,000**	₹1,21,000
Month 3	₹1,21,000	**+₹12,100**	₹1,33,100
Month 6	₹1,61,051	**+₹16,105**	₹1,77,156
Month 12	₹2,85,312	**+₹28,531**	₹3,13,843
		12-month profit at 10%	**₹2,13,843**

5% vs 10% vs 15% per Month



5 5% / month
₹1,79,586 · profit ₹79,586

10 10% / month
₹3,13,843 · profit ₹2,13,843

15 15% / month
₹5,35,025 · profit ₹4,35,025

> *Small, steady returns + no big losses = the power of compounding.*

PART 13 · MIND FIRST

Trader Mental Health

A healthy mind is a trader's biggest edge.

Before · During · After the Trade

Healthy Mind vs Stressed Mind

> *Take care of your mind, and your mind will take care of your trades.*

PART 14 · BOUNCE BACK

Losing Streak Psychology

A streak is normal. How you react decides the damage.

Why Losing Streaks Get Worse

Psychological Reset

Temporary Risk Reset

During the streak

Normal 2% risk

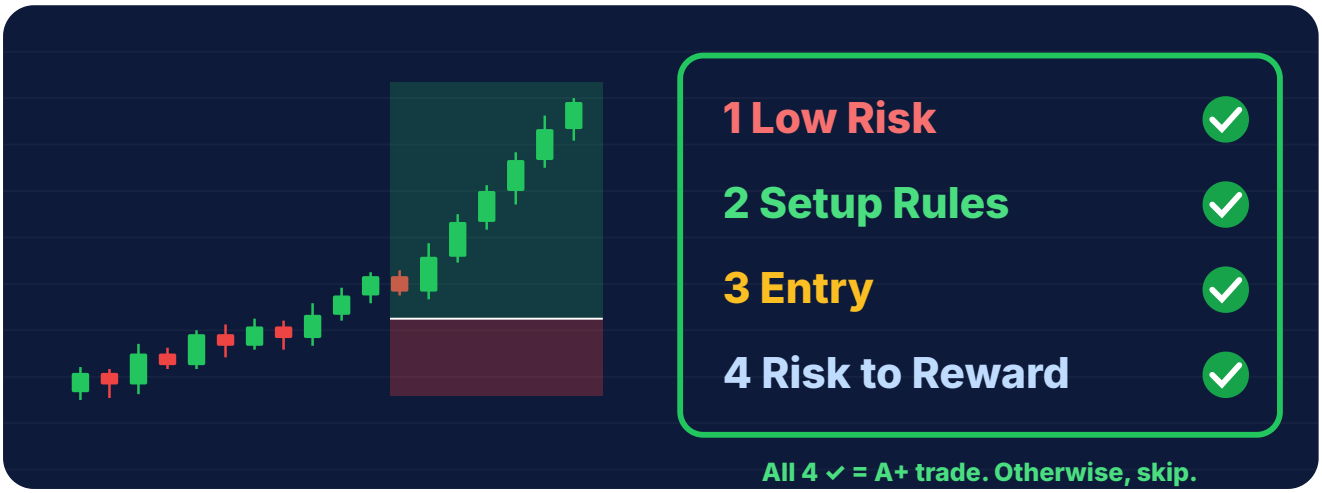
Keeps cutting deep into capital.

Reset mode

0.5%

Cut risk to 0.5–1% until 3–5 winning trades.

Comeback Checklist: 4 Questions



> *The streak ends when you stop chasing it.*

PART 15 · TRADING AS A PROFESSION

Professional Trader Lifecycle

Treat trading like a profession: fixed hours, one setup, a full life.

A Professional Trader's Day

ANALYSE
Plan before you trade

TRADE
Asian & NY sessions only

JOURNAL
Write everything down

LOG OFF
Close the chart

ENJOY LIFE
Movies, games, friends

REPEAT EVERY TRADING DAY

Fixed Hours, Like Any Profession

You don't watch the chart all the time, just as nobody stays in the gym or eats breakfast all day.

1 The Gym
A workout has a fixed time, not the whole day.

2 Breakfast
Eaten at a set time, then you move on.

3 Trading
Fixed hours, like every other profession.

A PROFESSIONAL'S TRADING HOURS

Most setups form during the sessions. Trade only these two.

Amateur vs Professional

Amateur Trader

- ✕ Gets attracted by big moves
- ✕ Watches the chart all day
- ✕ Jumps between many setups
- ✕ Brings trading into personal life

Professional Trader

- ✓ Wants consistency, not big moves
- ✓ Trades fixed hours only
- ✓ Masters one setup
- ✓ Keeps trading out of personal life

Fixed Hours + One Setup + Journal = Happy Trading & Personal Life

> *Big moves don't build a trader. Consistency does.*
>
> TRADE YOUR SESSION · CLOSE THE CHART · LIVE YOUR LIFE

PART 16 · MASTER YOURSELF

Control the Only Variable: You

You can't control the market. You can control how you respond to it.

The Trap Most Traders Fall Into

WRONG QUESTION

"What will the market do next?"

- ✕ Chasing certainty
- ✕ Guessing the next candle
- ✕ System breaks when the guess fails

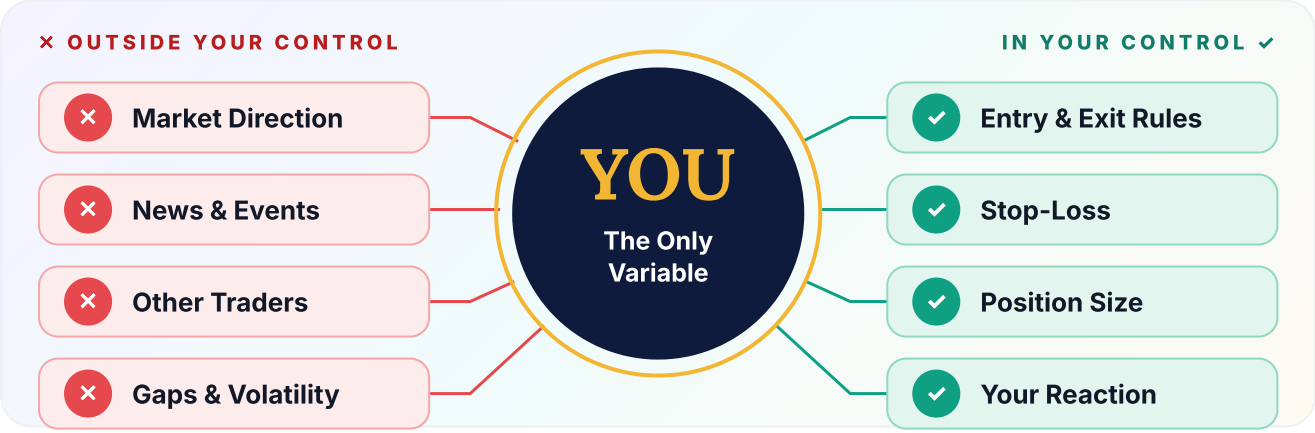
RIGHT QUESTION

"How will I respond if it surprises me?"

- ✓ Planning for every outcome
- ✓ Responding with fixed rules
- ✓ System stays intact

Trading is not about **predicting** the outcome. It's about **responding** to uncertainty.

What You Control vs What You Don't



WHAT IT MEANS IN ACTION

1 Not Personal

Price doesn't know your position. Stay objective.

2 Stay Neutral

Emotional neutrality is your real edge.

3 Rules > Prediction

Discipline beats guessing the future.

> *Stop trying to control the market.*
> *Your mindset is your method.*

CALM · OBJECTIVE · REPEATABLE EXECUTION

PART 17 · REALITY CHECK

Welcome to Reality

Trading is a game of survival, not speed.

The 90-90-90 Rule

90%
of new traders

90%
of their capital lost

90
days is all it takes

Most traders lose most of their money **in the first three months**.

Why Most Traders Don't Survive

Setting the Tone

PASSION PROJECT

- ✕ Hype and quick money
- ✕ Random hours, random trades
- ✕ Looking for a magic trick

PROFESSION

- ✓ Rules, plan and routine
- ✓ Fixed hours, fixed setup
- ✓ Survival first, profit second

> *Treat trading like a profession, not a passion project.*
>
> NO HYPE · NO MAGIC TRICK · JUST DISCIPLINE

02

THE MYTH OF OVERNIGHT SUCCESS

Expectation vs Execution

> Everyone wants the reward. Few want the work.

Why People Start Trading

EXPECTATION

They saw a big P&L

- Fast money, fast lifestyle
- Screenshots of big wins
- No mention of the losses

EXECUTION

The real daily work

- Study and backtest
- Follow rules on boring days
- Pay the price in time

"How Hard Can It Be?"

"How hard can it be?"

THE MOST EXPENSIVE SENTENCE

Underestimating trading has cost traders **millions**.

Social Media vs Skill Building

Social media → Highlight reel → FOMO → Loss

Skill building → Practice → Consistency → Profit

If it looks easy, they are **hiding the price they paid**.

> *Everyone wants to eat. Few want to hunt.*
>
> RESULTS COME AFTER THE WORK, NEVER BEFORE

03

THE HARD TRUTH

You vs. the 90%

> Most traders don't fail because they're stupid. They fail because they rush.

Fast vs Right

THE 90%

Build fast

- ✕ Fast money
- ✕ Fast results
- ✕ Fast wins
- ✕ Fast exit from the market

THE 10%

Build right

- ✓ Slow and steady
- ✓ Tested process
- ✓ Patient growth
- ✓ Still here years later

What Separates the Top 10%

What About You?

✕ Trading for the rush	→	✓ Trading for the long game
✕ Copying random signals	→	✓ Building your own system

> *The 90% build fast. The 10% build right.*
>
> CHOOSE WHICH SIDE YOU TRADE FROM

PART 18 · PLAN FIRST

The Missing Plan

If you fail to plan, you are planning to fail.

Most Traders Have No Plan

Wake up → Scroll social media → See a signal → Dive in → Hope

No entry logic. No stop. No target. **Just hope.**

The Minimum Viable Trading Plan

1	2	3	4	5
SETUP	**ENTRY**	**STOP-LOSS**	**TARGET**	**RISK %**
What you trade	Where you enter	Where you're wrong	Where you book	Size and R:R

Two-Line Plan vs No Plan

THE PRO

"Long at support with confirmation. Stop below structure. Target 2R."

- ✓ Clear entry
- ✓ Defined risk

THE AMATEUR

"Looks good. I think it'll go up. Let's see what happens."

- × No entry logic
- × No exit at all

> *Two lines on paper beat hours of hope on the screen.*
>
> SETUP · ENTRY · STOP · TARGET · RISK

02

CORE IDEA

Define Your Rules Before the Trade

> Your brain will betray you under pressure, so decide before the market opens.

THE BEST TRADERS

Pre-decide

- ✓ Rules set when calm
- ✓ Plan written in advance

AMATEURS

Improvise

- × Decide while money is live
- × React to every candle

Why This Matters

Money on the line → Fear & greed take over → Logic switches off → Survival mode

The Danger of "Live" Decisions

1 Moving the Stop
"Just this once."

2 Doubling the Size
"To make back the loss."

3 Holding the Loser
"It'll come back."

That's not trading. It's **chaos explained after the fact**.

LOCK THESE IN BEFORE THE TRADE

Entry + Stop-loss + Size + Target = Calm Execution

> *Decide when calm. Execute when it counts.*
>
> PRE-DECIDE · DON'T IMPROVISE

03

FOCUS ON PROCESS, NOT PROFITS

Building Your Foundation

> Reset the goal: measure yourself by execution, not by money.

Let's Reset the Goal

✕ "How much money can I make?" → ✓ "Can I follow my process, even when I lose?"

What You Control

YOU CAN'T CONTROL

- ✕ The outcome of a trade
- ✕ Whether this one wins

YOU CAN CONTROL

- ✓ Your actions
- ✓ Your execution of the system

From Gambling to Professional

"Did this win?" — GAMBLER → "Did I execute my system?" — PROFESSIONAL

Build It Like a Wall

LEARN — One strategy
RULES — Written down
REPEAT — Same process
REVIEW — Journal it
GROW — Results follow

> *Good trading is not about being right. It's about trading right.*
>
> — MARK DOUGLAS

PART 19 · THE INNER ENEMY

Emotions & Ego

Your worst enemies. Strategies rarely break first; psychology does.

The 4 Emotions That Break Your System

1 Fear
Freezes you or exits too early.

2 Greed
Oversizes and overstays.

3 Revenge
Trades to win it back.

4 Boredom
Trades with no setup.

Ego: The Invisible Account Killer

YOUR EGO SAYS

- ✕ “I’m smarter than the market.”
- ✕ “I’ll prove my analysis right.”

THE MARKET SAYS

- ✓ It doesn’t care who you are
- ✓ It only pays those who adapt

Stoic Discipline: The Trader’s Superpower

TRADE LIKE A SURGEON, NOT A GAMBLER

No emotion → No attachment → Process → Journal → Move on

Don’t marry a trade. Don’t take losses **personally**.

> *The market can stay irrational longer than you can stay solvent.*
>
> — JOHN MAYNARD KEYNES

02

THE REAL PROBLEM ISN'T THE MARKET

Your Mental Environment = Trading Performance

> Fix the mind first. The results follow.

Stop Blaming the Outside

~~Your broker~~

~~The signal you followed~~

~~The pattern that "failed"~~

THE REAL CAUSE

Your unexamined mind

- ✓ Fear of missing out
- ✓ Need to be right
- ✓ Desire for certainty

Mental Clutter That Sabotages Trades

"I have to make this work."

"I can't take another loss."

"The market owes me."

"This setup has to bounce."

These aren't thoughts. They are **emotional traps disguised as logic**.

Your Homework: Journal the Mind

- [ ] Your thoughts
- [ ] Your emotions
- [ ] Your self-talk
- [ ] Not just the price action

Patterns appear

↓

Clarity comes

↓

Trader evolves

> *Clean up your mind and you clean up your trades.*
>
> NAME IT · JOURNAL IT · FIX THE ROOT

03

SHIFT YOUR IDENTITY

Revenge Trading: Fighter vs Observer

> Revenge trading doesn't come from the market. It comes from your identity.

The Problem

Loss → "Unfair!" → Jump back in → Prove it → Blown account

Fighter vs Observer

	🥊 The Fighter	🧐 The Observer
Self-talk	"I'll get it back."	"Let's see how it develops."
Belief	"This trade owes me."	"Nothing to prove."
Goal	Control the market	Follow my process
Result	Bigger losses	Steady edge

Your edge begins when you stop reacting and start observing.

Key Takeaway

1 Detach
A loss is data, not an insult.

2 Observe
Watch price like a scientist.

3 Execute
Trade like a professional.

> *The market isn't your opponent. Your ego is.*
>
> OBSERVE · DON'T FIGHT

PART 20 · MINDSET SHIFTS

Embrace Uncertainty

Stop chasing certainty. Markets don't reward it, they punish it.

The Illusion

WHAT TRADERS THINK

"If I analyse enough, I'll know what comes next."

THE REALITY

"No amount of analysis removes uncertainty."

Why Chasing Certainty Fails

These aren't strategy problems. They're **belief problems**.

Reframe Your Mindset

✕ "This trade must work."	✔ "60% edge. I'll take it 100 times."
✕ "I'll wait until everything lines up."	✔ "Edge + discipline beats perfection."

> *Think in probabilities, not certainties.*
>
> ANY TRADE CAN LOSE · THE EDGE PLAYS OUT OVER MANY

02

BUILD CONFIDENCE SYSTEMS

Execution Paralysis

> You studied, you planned, you know the setup, and still you freeze.

The Problem

✓ Studied + ✓ Planned + ✓ Know the setup = ✕ Freeze at the trigger

What's Really Going On

1 Fear of Being Wrong
The setup might fail.

2 Fear of Losing Money
The stop might hit.

3 Fear for Your Identity
A "smart" trader can't lose.

Mistakes come from your **mental environment**, not the market.

Solution: Exposure, Not More Information

1. **SMALL SIZE** — Make losses tiny
2. **SAME SETUP** — Repeat it often
3. **JOURNAL** — Record every trigger
4. **REVIEW** — See the edge work
5. **SCALE UP** — Confidence grows

THE CONFIDENCE LOOP

Small trade → Real data → Trust → Bigger trade

> *Confidence is built by doing, not by knowing more.*
>
> SMALL SIZE · MANY REPS · REAL CONFIDENCE

PART 21 · KEEP IT SIMPLE

Signal Chasing & Shiny Objects

Signals sell the illusion of easy money. Skill is the only real shortcut.

Why Most Signal Services Fail You

1 Hope, Not Education
You learn nothing.

2 No Transparency
Drawdowns stay hidden.

3 One-Size-Fits-All
Ignores your capital and time.

4 Paid by Subscriptions
Not by trading results.

The Shiny Object Trap

BREAK THE LOOP

1 One Strategy
Stick with it through drawdowns.

2 Own Your Skill
Learn why trades work.

3 Judge by Data
Not by thumbnails.

> *Mastery comes from staying, not switching.*
>
> SKILL OVER SIGNALS

02

LESS BUT BETTER

Indicator Overload & Paralysis

> Too many indicators destroy confidence. Do less, and do it better.

Why Too Many Indicators Make You Worse

Contradictory signals = Hesitation

Analysis loops = No execution

No conviction = Fear when it goes live

Cluttered vs Clean

CLUTTERED CHART

- ✕ 5+ indicators
- ✕ Signals disagree
- ✕ Slow, doubtful decisions

CLEAN CHART

- ✓ Only what serves the strategy
- ✓ One clear signal
- ✓ Fast, confident decisions

Your New Chart Audit

REMOVE
What you don't fully understand

ASK
Clarity or confusion?

REBUILD
Only what your strategy needs

DECIDE
Faster and more confident

> *Complexity kills confidence. Simplicity scales.*
>
> DON'T DO MORE · DO BETTER WITH LESS

PART 22 · THE REAL TRADER

The 6 Principles

Every real trader must master all six. Miss one and the building falls.

1 Know Your Edge
Trust your tested system.

2 Risk Is Non-Negotiable
Every trade, no exceptions.

3 Emotions Don't Execute
Feel it, don't trade on it.

4 Process Over Results
Judge execution, not P&L.

5 Extreme Ownership
No blame. Every result is yours.

6 Plan the Work
Then work the plan.

> *Plan the work, and work the plan.*
>
> EDGE · RISK · CALM · PROCESS · OWNERSHIP · PLAN

02

WHAT SEPARATES WINNERS FROM THE REST

The 90-Day Commitment Challenge

> The real edge is consistency, not complexity.

You Don’t Need Another Strategy

MOST TRADERS

- ✕ Enough strategies already
- ✕ Keep switching and chasing
- ✕ No consistent application

THE 90-DAY TRADER

- ✓ One system, applied daily
- ✓ Confidence gets built
- ✓ Edge gets proven

The 90-Day Journey

DAY 1–30	DAY 31–60	DAY 61–90
Build the habit	**Refine the process**	**Prove the edge**

The Challenge Rules

WHY IT WORKS

Focus = Less noise Repetition = Refinement Journal = Clarity

> *Don’t learn more. Execute what you already know.*
>
> 90 DAYS · ONE SYSTEM · NEW HABITS

PART 23 · FINAL LESSONS

Train the Mind, Trade the Process

Three takeaways to carry into every session.

Summary Takeaways

1

You Control Your Mind, Not the Market

The market is wild and random. Your reactions are your edge.

Stop controlling price | Master your response

2

Predefined Rules = Emotional Shields

Rules locked before the trade mean logic trades, not emotion.

Entry | Stop | Size | Exit

3

Mental Clarity > Technical Overload

You don't need five indicators. You need one mindset.

Clear screen | Simple inputs | One setup

THE FORMULA

Calm Mind + Fixed Rules + Simple Chart = Consistent Trader

> *Every undefined rule is a doorway for fear.*
>
> STRUCTURE PROTECTS THE MIND IN CHAOS

02

YOUR ROADMAP FROM HERE

What Next?

> Two roads: success or failure. Your next steps decide which one you take.

Build Your System

DON'T WING IT

Create a basic, **repeatable** trading system that answers four questions.

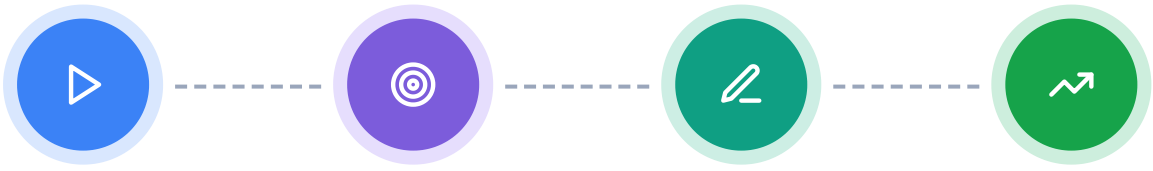
1. **Entry?**
2. **Stop-loss?**
3. **Size?**
4. **Target?**

Educate Yourself (for Real)

1. **Trading in the Zone**
   Mark Douglas
2. **The Disciplined Trader**
   Mark Douglas
3. **The Daily Trading Coach**
   Brett Steenbarger
4. **Unknown Market Wizards**
   Jack Schwager

Learn from **principles**, not hype.

Try, Test, Track



TRY
Open a demo account

TEST
Your exact system

TRACK
Journal every trade

GO LIVE
Small size first

> *Practice the system with no capital at risk, then trade it for real.*
>
> BUILD · LEARN · TEST · REPEAT

PART 24 · THE PSYCHOLOGY OF RISK

The Psychology of Risk

You can't remove risk from trading. You can learn to take good risk.

FOR TRADERS, RISK IS

The effect of uncertainty on your objectives.

THE TWO MAIN CATEGORIES

- **Physical risk**: survival. Early humans who took risks found food.
- **Economic risk**: money. Today's trader faces this one.

Different Kinds of Risk You Carry

1. **Financial** — Capital you can lose.
2. **Time** — Hours spent on bad trades.
3. **Energy** — Mental drain and stress.
4. **Reputation** — Ego and credibility.

Fear Is Risk Management

FEAR METER

Fear is an emotional trigger to **avoid risk**.

80–90%

of traders and investors lose money

Too much fear

freezes you · too little blows you up

The Upside of Risk

Risk & Opportunity = Two sides of the same coin

> *Don't try to eliminate risk. Learn to take good risk.*
>
> NO RISK · NO REWARD

02

YOU ARE YOUR OWN WORST ENEMY

Market Risk vs Discretionary Risk

> The market brings some risk. You bring the biggest one.

Two Sources of Risk

MARKET RISK

Comes from the market

- Volatility risk
- Liquidity risk
- Technical risk
- Fundamental risk

DISCRETIONARY RISK

Comes from you

- ✕ Human fallibility
- ✕ Emotional decisions
- ✕ Breaking your own rules
- ✕ The **biggest** risk you'll face

A Few Cognitive Biases

The Typical Trader: Overconfidence

✕ "I can predict the market, so I don't need risk management."

→

✓ "I can't predict the market, so I always manage risk."

> *Your biggest risk isn't the market. It's you.*
>
> KNOW YOUR BIASES · RESPECT YOUR RULES

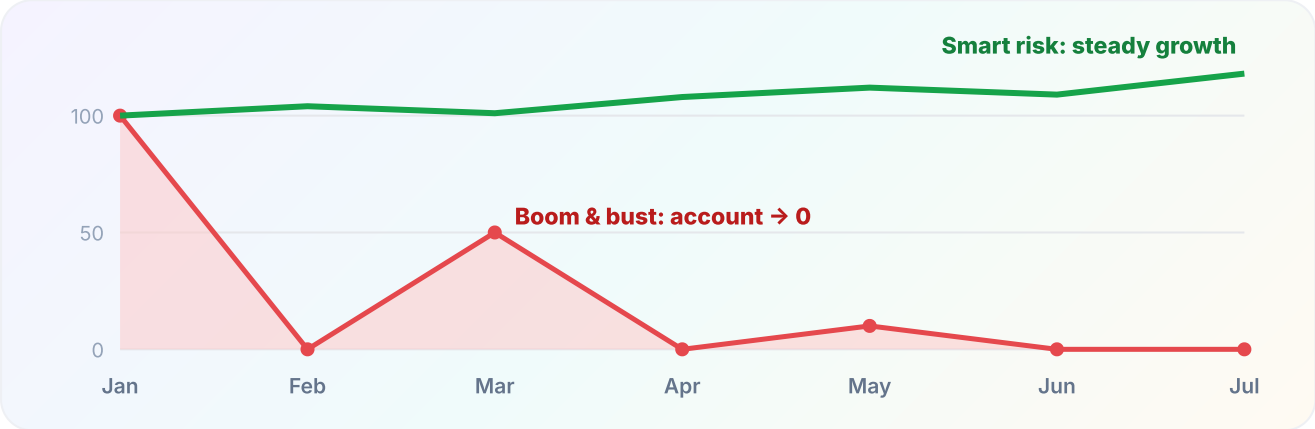
03

SMALL LOSSES · BIG WINS

The Power of Asymmetric Risk

> Your risk-reward profile matters more than your analysis.

Boom & Bust Is Avoidable



High-volatility curves are unsustainable. **Become a smart risk manager.**

Bet Small, Win Big

Uniform position size · 4 losses, 1 win

−20 LOSS	−20 LOSS	+100 WIN	−20 LOSS	−20 LOSS	=	+20 NET RESULT

Quick trades with small profits · average win still bigger than average loss

−20 LOSS	+100 WIN	+10 WIN	+10 WIN	−10 LOSS	=	+90 NET RESULT

Why It Works

1 Anti-Fragile
Thrives despite losses, not because they're absent.

2 Analysis < R:R
Charts matter. Your risk-reward profile matters more.

3 Stay in the Game
Small bets keep ego and emotions out.

> *Place small bets with big reward potential.*
>
> LOW RISK · HIGH REWARD · LOTS OF ATTEMPTS

04

RULES, LOSSES & THE COIN FLIP

Risk Is an Emotional Game

> Risk management protects your capital and your peace of mind.

Why We Need Rules

A PERFECTLY RATIONAL BEING

- Always makes the right call
- Would need no rules at all

A REAL HUMAN TRADER

- Gets carried away by the noise
- Needs rules, even if boring

Sticking to your rules is **boring**. That's the point.

The Coin Flip Paradigm

100%

Any trade can lose.
Accept it fully before you click buy.

FLIP A COIN

- ✓ No ego, no attachment
- ✓ Outcome out of your hands
- ✓ Trade with the same calm

What Risk Management Really Does

1. **Survival**
   Keeps you alive when trades go wrong.
2. **Max Returns**
   Lets winners pay when trades go right.
3. **Peace of Mind**
   Protects your emotional well-being.

LOSSES ARE PART OF THE GAME

Small controlled losses **or** Account-destroying losses → **You choose**

> *No one ever blew up an account by taking small losses.*
>
> KEEP RISK SMALL · TRADING IS A SLOW PATH TO SUCCESS

PART 25 · TRADING PSYCHOLOGY MASTERY

Trading Psychology Mastery: Build the Mindset!

It starts with how a professional sees the market.

How a Professional Sees the Market

1 Harsh Environment
Unique, fast and unforgiving.

2 Costs Add Up
Every commission makes you poorer.

3 A Battleground
Every day is a fight for survival.

You Have No Control Over the Market

Price = **Crowd consensus at the moment of the trade**

Hope ⇄ **The crowd swings** ⇄ **Fear**

YOU CAN'T CONTROL
- ✕ Price
- ✕ The crowd
- ✕ Swings from hope to fear

YOU CAN CONTROL
- ✓ Your plan
- ✓ Your risk
- ✓ Your reaction

Emotions take over when you **stop following your plan**.

> *The market is a battleground. Your plan is your armour.*
>
> SURVIVE FIRST · PROFIT SECOND

02

THE HEART OF A PROFITABLE SYSTEM

What Is an Edge?

> A higher probability of one thing happening than something else.

A Real Edge Is...

1 Quantifiable
Measured in numbers.

2 Definable
Written as clear rules.

3 Repeatable
Works again and again.

An edge is never based on **intuition** or gut feeling.

Positive Expectancy: What Is and Isn't an Edge

NOT AN EDGE

- ✕ Positive thinking
- ✕ Risk management
- ✕ Discipline
- ✕ Psychology

A REAL EDGE

- ✓ A statistical advantage
- ✓ Trading only at those locations
- ✓ Positive results over many trades

Risk, discipline and psychology **protect** an edge. They don't create one.

Entries & Exits Are Misnomers

✕ **Hunting the "perfect" entry and exit** → ✓ **Trading the right location with proven odds**

Easy to say, **hard to do**. That's why so few find it.

> *If you can't explain it simply, you don't understand it well enough.*
>
> — ALBERT EINSTEIN

03

BACKTEST YOUR RULES

Verifying Your Edge

> Don't trust an edge until you have tested it.

The Verification Process

What Verification Gives You

1 Clarity
You know exactly what to trade.

2 Confidence
You trust the system in a drawdown.

3 Proof
Numbers, not opinions.

Unverified vs Verified

UNVERIFIED

- ✕ Based on a feeling
- ✕ Breaks in the first drawdown
- ✕ You abandon it

VERIFIED

VERIFIED

- ✓ Tested across market cycles
- ✓ Survives drawdowns
- ✓ You stick with it

WHAT TO MEASURE

Win rate · Avg win vs avg loss · Max drawdown · Number of trades

> *Test it first. Trust it after.*
>
> CLARITY · CONFIDENCE · PROOF

04

KNOW YOUR PATTERNS

The Psychological Journal

> Trading is full of emotions. Record them, and you can fix them.

Why You Need It

Emotions → Repeat → Form patterns → Become habits → Record & rectify

Journal Benefits

Mood Check: How Do You Feel Today?

Bad Mood
↓
More accidents

Euphoric Mood
↓
Overtrading

Controlled Mood
↓
Follows the plan

> *Sometimes you never know the value of a moment until it becomes a memory.*
>
> — DR. SEUSS

05

MEDITATION FOR TRADERS

Calm the Monkey Mind

> Meditation trains the mind that places every trade.

Why Meditation Matters

Why Focus Is So Important

1 Right Decisions

A calm mind makes better calls.

2 Clear Awareness

You understand what's around you.

5 SECONDS

TRY THIS NOW

Be silent for five seconds.

Did you hear the mental chatter? That noise follows you into every trade.

> *The goal of meditation isn't to control your thoughts, it's to stop letting them control you.*
>
> — BUDDHA

06

BREATHING AS A TECHNIQUE

Train Your Brain

> You can't control your brain, but you can train it.

WARREN BUFFETT

"If you cannot control your emotions, you cannot control your money."

How Meditation Helps

Money at stake → Emotions rise → Self-awareness → Better response

A Simple Breathing Practice

SIT
Quiet place, straight back

BREATHE
Slowly, in and out

FOCUS
Only on your breath

RETURN
Mind wanders? Come back

1 Most Common
Breathing-based meditation.

2 Easy to Start
Your breath is always with you.

3 Possible for All
Hard at first, but achievable.

> *Easy to say, hard to get into, but absolutely possible.*
>
> A FEW MINUTES DAILY · CALMER TRADES

07

PROMISES BEFORE THE MARKET OPENS

What Are Trading Rules?

A set of promises you make to yourself before entering the market.

Why You Need Rules

Your Promise Sheet

- [ ] My setup is written
- [ ] My stop is set before entry
- [ ] My risk per trade is fixed
- [ ] My daily loss limit is set

WITHOUT RULES

- ✕ Hesitate on good trades
- ✕ Chase bad trades
- ✕ Let emotions decide
- ✕ Risk grows unchecked

Keep Every Promise

✕ "Just this once, I'll skip my stop." → ✓ "A promise is a promise. The stop stays."

> *Discipline is rarely enjoyable but almost always profitable.*
>
> — DANIEL PATRICK

08

WHAT SUCCESSFUL TRADERS DO DAILY

The Daily Routine

> A routine is the base of a trader's discipline.

Why a Routine?

1 Discipline
Same habits, every day.

2 Sharp Mind
Keeps you in top mental shape.

3 Preparation
Time to plan before the bell.

The 3 Steps

STEP 1

Wake Up Early

Sleeping early matters even more.

- A step ahead of peers
- Better concentration

STEP 2

Physical Exercise

Trading is a sitting job, so move your body.

- 20 minutes daily
- Planks during the day
- Avoid weight gain

STEP 3

Mental Exercise

Meditation: a relaxed, thought-free state.

- Less stress
- Calm mind
- Focus
- Clarity
- Emotional control

> *Win the morning, win the trading day.*
>
> SLEEP EARLY · MOVE · MEDITATE

09

THE ROADMAP

Your Path to Trading Success

> Three stages, one climb. Keep going.

The Three Stages

1 Avoid Mistakes
Plan, control emotions, manage risk.

2 Success Formula
Apply all three, every trade.

3 Continuous Growth
Keep learning, keep practising.

THE SUCCESS FORMULA

Risk Management + Plan Adherence + Emotional Control = Success

When You Slip

✕ Quit after a bad week → ✔ Learn, adjust and keep climbing

> *Mastery isn't a destination. Keep learning, keep practising.*
>
> BUILD THE MINDSET · ONE DAY AT A TIME

PART 26 · THE JOURNEY

The Trading Journey

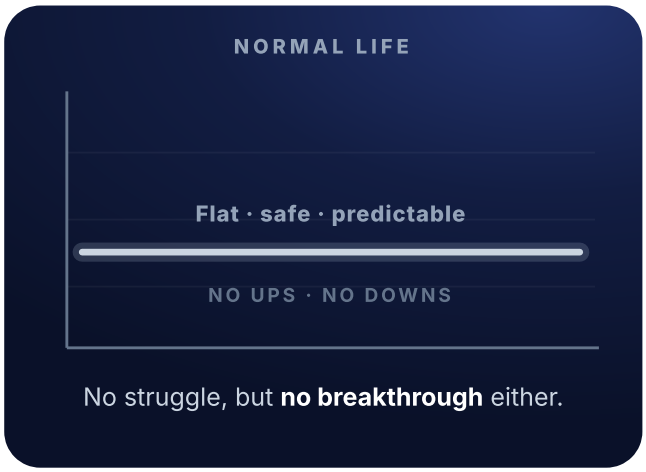
Every successful trader walks the same curve.

The Growth Curve of a Trader

The valley is where most give up. **Learning and a tested system** take you above the line.

Trading Journey vs Normal Life

Fear, doubt, insecurity, then **exponential growth**.



No struggle, but **no breakthrough** either.

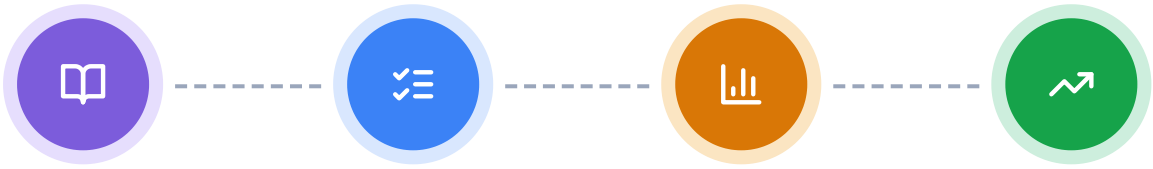
> *I wish you great prosperity. You won't need luck if you work at acquiring the right skills.*
>
> SKILL BEATS LUCK

PART 27 · TRADING MINDSET

Trading Mindset & Three Steps to Profit

Prepare, collect data, improve step by step.

Analyze Your Trading



What Builds a Trader

The Mental Side of Trading

1 Often Overlooked

Most traders only study charts.

2 Your Advantage

Odds are against you, but you have edges big firms don't.

3 100% Up to You

Decide right now to master it.

> *The goal of a successful trader is to make the best trades. Money is secondary.*
>
> — ALEXANDER ELDER

02

BEFORE THE MARKET OPENS

The Pre-Market Checklist

> Ten checks that prepare you before you place a single trade.

Positions & News

- [ ] Outstanding positions
- [ ] Today's announcements
- [ ] Contracts up to date?

Market Levels

- [ ] Yesterday's range
- [ ] High, low, close
- [ ] Historical points

You & Your Plan

- [ ] Check your trading plan
- [ ] Are you okay to trade?
- [ ] Are you focused?
- [ ] Plan your day

Are You Ready to Trade?

Plan checked → Levels marked → Mind focused → Ready to trade

If any answer is **no**, today is not a trading day.

Checklist vs Impulse

✕ Skip the checklist and trade on impulse → ✓ Complete it and trade with a clear plan

YOUR COMMITMENT

Devote Yourself to Your Success

> *Preparation turns a gamble into a decision.*
>
> CHECK · PLAN · THEN TRADE

03

DURING & AFTER EVERY TRADE

The Trade Checklist

> Record every trade. Your data becomes your coach.

Your Trade Log

LOG THIS	WHEN	WHY IT MATTERS
Average entry time	DURING	Find your best hours
Commission costs	DURING	See the true cost
Why you entered	DURING	Was it your setup?
Where your stop-loss is	DURING	Risk defined upfront
Exit time & price	POST	Measure the result
Moved your stop? Why?	POST	Spot rule-breaking
Special & additional notes	BOTH	Emotions and context

Why Log Everything?

Log every trade → Spot patterns → Fix weak spots → Better results

Professional Tricks

1 Pre & Post Routine

Same checks, every single trade.

2 Stick to Your Plan

No exceptions, no excuses.

3 Market Awareness

Know what the market is doing.

> *What gets recorded gets improved.*
>
> LOG · REVIEW · IMPROVE

04

3-STEP PROCESS TO EXPONENTIAL GROWTH

Three Steps to Profitable Trading

> Simple ground rules, then three steps that build on each other.

Ground Rules

1 Affordable Capital
Only money you can afford to lose.

2 No Top-Ups
Never add money to the account.

3 Loss Limits
Set them at 10% and 25%.

4 Real Money
No paper trading here.

The Three Steps

STEP 1 · MONTH 1

Break Even

Simplify, build, succeed. Think like a trader.

Steady progress · No spinning your wheels

STEP 2 · END OF MONTH

Review Your Data

Your immediate reward: real data about you.

How many trades? · Win-to-loss ratio · Best time to trade

STEP 3 · MONTH 3

Rinse & Repeat

Double it. Confidence and competence grow.

Rewards start to show · Keep collecting data

> *Simplify. Build. Succeed.*
>
> BREAK EVEN · REVIEW · REPEAT

PART 28 · EXECUTION

Why You Still Lose With Perfect Setups

The hard truth: execution is the real edge.

The Problem Isn't the Setup

1 You Hesitated
The signal came. You froze.

2 You Jumped Early
Before the setup confirmed.

3 You Bailed Too Soon
Before the trade could work.

Most traders don't lose because they're wrong. They lose because they **can't follow through** when they're right.

Why Perfect Charts Still Fail

ANALYSIS
Half the game
- Spotting the setup
- Reading the chart
- Just the entry ticket

EXECUTION
The real game
- Trusting the plan
- Holding the stop
- Letting winners run

ASK YOURSELF HONESTLY

1 Trust Under Pressure?
Do I follow my plan when it counts?

2 Stop or Move It?
Do I respect my stop-loss?

3 Cut Winners Early?
Do I exit just to feel safe?

> *Analysis is the entry ticket. Execution is the game.*
>
> YOU ARE THE EDGE

02

TRADING IS A MIRROR

It's Not the Chart... It's You

> Charts are neutral. Indicators are objective. Your reactions are personal.

Fear Isn't the Problem. Your Response Is.

Fear shows up → Abandon the plan → Revenge trade → Freeze

You can't remove fear, but you can build **systems that work in spite of it**.

5 Habits to Apply Today

NAME IT	PRE-COMMIT	IF–THEN	JOURNAL	SIZE DOWN
Label the emotion	Rules before entry	Plan your triggers	The emotion, not just the trade	Rebuild trust

Timing Is a Skill

TOO EARLY

- ✕ Jump in before confirmation
- ✕ Every wiggle hits your nerves
- ✕ A pullback feels like a reversal

PATIENT

- ✓ Wait for confirmation
- ✓ Calmer, cleaner position
- ✓ Let the trade do the work

Stop Needing to Be Right

✕ Trading to prove you're right	✓ Trading to execute the process
✕ "This loss is a personal failure"	✓ "Lose small, stay calm, reload"

> *A good setup at the wrong time is still a bad trade.*
>
> WAIT · CONFIRM · EXECUTE

03

STRUCTURE, NOT STRESS

Where Your Stop-Loss Belongs

> Put your stop where the idea is wrong, not where it feels safe.

Structure-Based Stop vs Emotional Stop

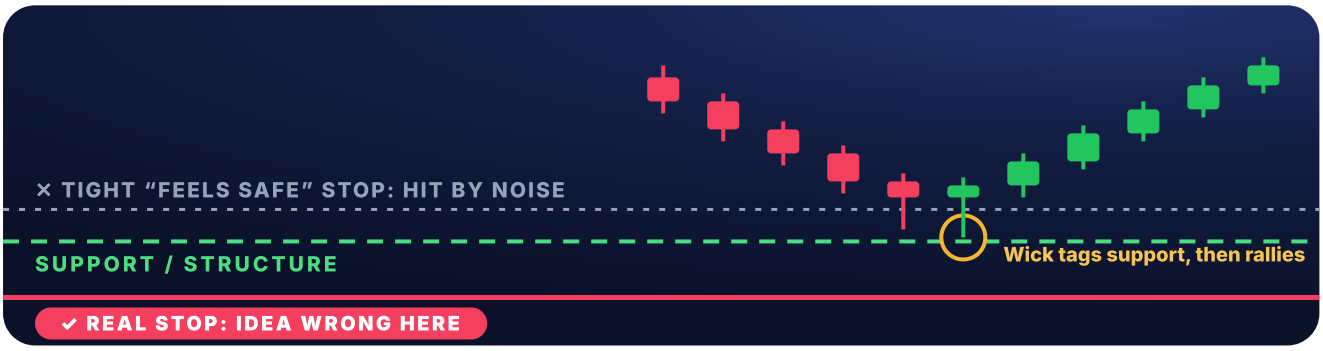
A REAL STOP

- ✓ Below support in a long
- ✓ Above resistance in a short
- ✓ Beyond the swing that defines the idea

NOT A STOP

- × A random round number
- × Just “what I’m okay losing”
- × Under a candle, no context
- × Placed after you enter

If this level breaks, **the idea is invalid**. That’s the only reason a stop exists.



You Can’t Trade Without Execution

A perfect plan is worthless if you **freeze when it’s time to act**.

> *Your stop-loss should protect your capital, not your feelings.*
>
> PLAN IT · PLACE IT · RESPECT IT

04

SMALL LOSSES, NOT BIG ONES

Accepting Losses Without Losing It

> If you can't accept small losses, you will eventually take big ones.

Two Types of Losses

STRATEGIC LOSS

- ✓ Planned and controlled
- ✓ Within your rules
- ✓ A normal cost of business

EMOTIONAL LOSS

- ✗ Moved or missing stop
- ✗ Revenge or hesitation
- ✗ Feels like personal failure

After Every Loss, Ask

1. **Did I Follow My Rules?**
2. **Was the Setup Valid?**
3. **Was Ego Involved?**

Followed the plan? Then it's a **good trade**, even with a red P&L.

Make It Visual: The Drawing Drill

CLEAN CHART
No indicators

REPLAY
Go back 100–300 candles

DRAW
Levels, patterns, key candles

PAUSE & GUESS
Then play it forward

10 minutes a day builds **pattern recognition under pressure**.

> *If you can't see the pattern, you'll never trade it with confidence.*
>
> DRAW IT · SEE IT · TRADE IT

PART 29 · 21 TIPS

21 Tips That Will Make You a Better Trader

Small habits, repeated daily, build a professional.

6 Points That Complete a Trading System

Markets
What to buy or sell

Entries
When to buy or sell

Position Size
How much to buy or sell

Stops
Where to get out of a loser

Exits
Where to take profit

Tactics
How to buy or sell

Miss one point and the system is **incomplete**.

3 Ways to Speed Up Your Learning

REFLECTION
The noblest way

IMITATION
The easiest way

EXPERIENCE
The bitterest way

Start Here

01 **Consistency Is Everything**
Consistency isn't something you have; it's something you do. Same wake-up, same routine, same process.

> *By three methods we may learn wisdom: reflection, imitation and experience.*
>
> — CONFUCIUS

02

TIPS 2 – 7

Learn, Improve, Specialise

> Grow your skill and choose your trades with care.

02 Your Actions Speak, Listen to Them
Track and analyse every trade. Remove what isn't working.

03 Devote Yourself to Constant Improvement
Markets change. There is always a next level to reach.

04 You're the Average of Your Circle
Surround yourself with traders. Join a community and share ideas.

05 Be as Ready to Buy as to Sell
Don't marry a bias. Your job is to make money, not be right.

06 Be the Best at One Thing
One style, one system. Master it before adding more.

07 Trading Is Risk vs Reward
Risk decides first. Aim for at least 2R on every trade.

Think Risk First

> *Let your risk determine your reward.*
> ONE STYLE · ONE SYSTEM · 2R OR BETTER

03

TIPS 8 – 12

Own Every Outcome

> You decide how much, when, and where you exit.

08 **Build a Complete System**
Markets, entries, size, stops, exits, tactics: all six defined.

09 **Seek Improvement**
No one owns every idea. Keep researching and testing new ones.

10 **You're in Control of Everything**
Big losses are a choice. Your stop decides the size.

11 **Trade Only With Complete Focus**
Multitasking is a myth. When you trade, only trade.

12 **Follow the Process**
Confidence comes from action, not more books or indicators.

The Only 4 Ways a Trade Should End

▼ Small Loss	= Breakeven	▲ Small Profit	▲ Big Profit	✕ ~~Big Loss~~

The fifth outcome is **never allowed**. If you take big losses, it's on you.

MAIN TIPS TO REMEMBER

Constant improvement · Analyse your trades · Ready to buy or sell

No risk = no reward · You're responsible

> *You decide how much, when, and where you exit. You are in control.*
>
> NO EXCUSES · FULL OWNERSHIP

04

TIPS 13 – 16

Study Wins, Think in Odds

> Learn from your best trades and build a routine around them.

13 **Reverse-Engineer Your Best Trades**
Keep a “playbook” of A+ trades. Review it so you act faster.

14 **It’s All About Probabilities**
Attach to actions, not outcomes. The edge plays out over many trades.

15 **The 20-20-20 Routine**
Split your first hour into three 20-minute blocks.

16 **Priorities, Priorities, Priorities**
Prioritise your trading life. Passion beats chasing money.

The 20-20-20 Morning Routine

20 MINUTES	20 MINUTES	20 MINUTES
Exercise	Reading	Food & Shower

Inspired by Robin Sharma’s **The 5 AM Club**.

Think in Probabilities

Follow the process → Accept some losses → Edge plays out → Positive results

> *Your only job is to follow your process. The results come over time.*
>
> PLAYBOOK · PROBABILITY · PRIORITY

05

TIPS 17 – 21

Master Yourself, One Trade at a Time

> Honesty, attention and the right emotions at the right time.

17 — Get and Be Honest
No shame in losses. The shame is hiding them from yourself.

18 — Controlled Attention
Focus is the key ingredient. Master your attention.

19 — Reverse Hope and Fear
Swap the emotions to get bigger wins and smaller losses.

20 — Make Your Own Trading Rules
Copied rules don't fit. Build rules unique to you.

21 — One Trade at a Time
One good trade, over and over. Then one day at a time.

Reverse Hope and Fear

MOST TRADERS

- ✕ **Winning:** fear, so they exit too early
- ✕ **Losing:** hope, so they move the stop

PRO TRADERS

- ✓ **Winning:** hope, so they let it run
- ✓ **Losing:** fear, so they cut it fast

MAIN TIPS TO REMEMBER

Full focus · Follow the process · 20-20-20 routine · Reverse hope & fear · One trade at a time

> *Take it one trade at a time and one day at a time.*
>
> FOCUS · PROCESS · ROUTINE · HONESTY

FINAL WORDS

“

Trade for loss,
and trading will give you profit.

I am the greatest trader ever born on this planet.

MILLIONAIRE BY DISCIPLINE · MASTERING THE MIND